

(5)
No. 94-623

Supreme Court, U.S.

FILED

JAN 12 1995

OFFICE OF THE CLERK

IN THE

Supreme Court of the United States

OCTOBER TERM, 1994

VIMAR SEGUROS Y REASEGUROS, S.A.,

Petitioner,

—v.—

M/V SKY REEFER, her Engines, etc., and M.H. MARITIMA, S.A.,

Respondents.

ON WRIT OF CERTIORARI TO THE UNITED STATES
COURT OF APPEALS FOR THE FIRST CIRCUIT

JOINT APPENDIX

RECEIVED

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SUPREME COURT, U.S.

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RELEVANT DOCKET ENTRIES

FIRST CIRCUIT COURT OF APPEALS

10/7/93	MISCELLANEOUS CASE docketed. () Filed by Vimar Seguros. Certificate of service date 10/7/93 (jant)
10/7/93	MOTION filed by Petitioners Vimar Seguros requesting permission to appeal pursuant to F.R.A.P. 1292(b). Certificate of service date 10/7/93. (jant)
10/15/93	APPEARANCE filed by Attorney Stanlet McDermott on behalf of Petitioners Vimar Seguros. (jant)
10/19/93	M/V Sky Reefer and M.H. Maritima, S.A.'a answer in opposition to petition for appeal pursuant to 28 U.S.C. 1292(b), received and filed. Certificate of service date 10/18/93. (jant)
11/1/93	ORDER: by Chief Judge Stephen G. Breyer, Judge Juan R. Torruella, Judge Bruce M. Selya granting motion motion for permission to appeal pursuant to F.R.A.P. 1292(b). (jant)
11/1/93	MISCELLANEOUS CASE transferred to 93-2179. (jant)
11/1/93	JUDGMENT: Procedurally Terminated After Other Judicial Action; Transferred. Chief Judge Stephen G. Breyer; Judge Juan R. Torruella; Judge Bruce M. Selya. (jant)
11/1/93	RECORD ON APPEAL filed: 1 volume(s). Appellant's Brief Due 12/6/93. (jant)
11/4/93	ATTORNEY Jeffrey S. King for Appellees M/V Sky Reefer, John J. Finn for Appellees M/V Sky Reefer, Thomas H. Walsh for Appellees M/V Sky Reefer added to case(s) [93-2179]. (jant)

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- 11/4/93 APPEARANCE filed by Attorney Jeffrey S. King, John J. Finn, Thomas H. Walsh on behalf of Appellees M/V Sky Reefer. (jant)
- 11/9/93 ATTORNEY Sharyn L. Bernstein for Appellants Vimar Seguros added to case(s) [93-2179]. (jant)
- 11/9/93 APPEARANCE filed by Attorney Sharyn L. Bernstein, Stanley McDermott on behalf of Appellants Vimar Seguros. (jant)
- 11/16/93 FEE PAID. Notice received from District Court that filing fee has been paid by the Appellant on 11/15/93. (jant)
- 12/6/93 MOTION filed for Appellants Vimar Seguros requesting to extend time to file Appellant's brief and appendix until 12/13/93. (jant)
- 12/6/93 ORDER: by Judge Norman H. Stahl granting motion to extend time to file Appellant's brief and appendix. Appellant's Appendix Now Due 12/13/93. Appellant's Brief Now Due 12/13/93 for Sharyn L. Bernstein, for Stanley McDermott. (jant)
- 12/8/93 FEE PAID. Notice received from District Court that filing fee has been paid by the Appellant on 11/15/93. (jant)
- 12/14/93 APPELLANT'S BRIEF and APPENDIX filed on behalf of Vimar Seguros. Pages: 37, Copies: 10, delivered by mail. Certificate of service date 12/13/93. (bevy)
- 12/15/93 CORRECTED BRIEF filed on behalf of Appellant. Pages: 36, Copies: 10, delivered by hand. Certificate of service date 12/15/93. (bevy)

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- 1/11/94 MOTION filed by John J. Finn for Appellees M/V Sky Reefer requesting to extend the time to file Appellee's brief until 1/20/94. Certificate of service date 1/10/94. (paua)
- 1/11/94 ORDER: by Judge Conrad K. Cyr granting the motion to extend the time to file Appellee's brief. Appellee's Brief Now Due 1/20/94. (paua)
- 1/21/94 BRIEF filed by Appellees. Copies: 10. Certificate of service date 1/20/94. (bevy)
- 2/2/94 APPELLANT'S REPLY BRIEF on behalf of Vimar Seguros. Pages: 21. Copies: 10. Delivered by mail. Certificate of service date 2/1/94. (bevy)
- 3/15/94 Assigned for hearing at the April, 1994 session. (ceca)
- 4/8/94 CASE ARGUED 04/08/94. Breyer, Ch. J., Bownes, Stahl, JJ. (ceca)
- 7/7/94 JUDGMENT: Terminated on the Merits after Oral Hearing; Affirmed; Written, Signed, Published. Judge Hugh H. Bownes, Authoring Judge; Chief Judge Stephen G. Breyer; Judge Norman H. Stahl. (anne)
- 7/14/94 BILL OF COST filed by Jeffrey S. King for Appellees M/V Sky Reefer. Certificate of service date 7/13/94. [93-2179] (bety)
- 7/29/94 TAXATION of costs filed. (anne)
- 7/29/94 MANDATE ISSUED. (anne)
- 7/29/94 Original papers to follow. (anne)
- 8/9/94 RECORD returned. (anne)
- 9/29/94 Opinion can be found in Federal Reporter 29 F.3d 727 (bevy)

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10/11/94 U.S. SUPREME COURT NOTICE filed regarding petition for writ of certiorari. Filed in the Supreme Court on 10/05/94. Supreme Court case number: 94-623. (anne)

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RELEVANT DOCKET ENTRIES
UNITED STATES DISTRICT COURT—
MASSACHUSETTS (BOSTON)

12/20/91	1	Complaint filed (ctd) [Entry date 12/27/91]
12/20/91	—	Summons(es) issued for M/V Sky Reefer, Maritima (ctd) [Entry date 12/27/91]
12/20/91	—	Filing Fee Paid. Receipt #: 14319 Amount: \$120.00. (ctd) [Entry date 12/27/91]
2/10/92	2	Claim of Ownership. fcs (jdj) [Entry date 02/11/92]
2/21/92	3	Answer to Complaint by Maritima in personam claim, and in rem claim. (jdj)
3/3/92	4	Motion by Reasegueros, Bacchus special admission of counsel fcs (jdj)
3/3/92	5	Certificate of Good Standing by Attorney Stanley McDermott (jdj)
3/3/92	6	Notice of attorney appearance for Reasegueros by Stanley McDermott, Leo G Kailas (jdj)
3/3/92	7	Notice of attorney appearance for Bacchus by Alexander Peltz w/attached certificate of good standing (jdj)
4/22/92	8	Motion by Maritima to compel arbitration , and to to stay proceedings. filed cs (jdj) [Entry date 04/27/92]
4/22/92	9	Memorandum by Maritima in support of [8-1] motion to compel arbitration, [8-2] motion to stay proceedings (jdj) [Entry date 04/27/92]

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- 5/6/92 10 STIPULATION by Reasegueros, Bacchus, Sky Reefer, M/V, Maritima, extending time to file opposition to mtn to compel and to stay to 5/13/92 (jdj)
- 5/11/92 11 STIPULATION by Reasegueros, Bacchus, Sky Reefer, M/V, Maritima, extending time to respond to mtn to compel to 5/20/92 (jdj)
- 5/21/92 12 Affidavit of Edward T McArdle (jdj)
- 5/21/92 13 Memorandum by Reasegueros, Bacchus in opposition to [8-2] motion to stay proceedings (jdj)
- 6/1/92 14 Motion by Maritima for leave to file reply filed (sad) [Entry date 06/02/92]
- 6/2/92 — Judge Mark L. Wolf . Endorsed Order granting [14-1] motion for leave to file reply (jdj)
- 6/2/92 15 Reply by Sky Reefer, M/V, Maritima to response to [8-1] motion to compel arbitration (jdj)
- 6/5/92 16 Motion by Reasegueros for leave to file Surreply Memorandum (jdj) [Entry date 06/08/92]
- 6/8/92 — Judge Mark L. Wolf . Endorsed Order granting [16-1] motion for leave to file Surreply Memorandum (jdj)
- 6/8/92 17 Reply by Reasegueros to response to [8-1] motion to compel arbitration (jdj)
- 4/26/93 18 Judge Mark L. Wolf . Memorandum and Order denying [8-1] motion to compel arbitration, granting [8-2] motion to stay proceedings, denying [4-1] motion special admission of counsel reconsideration motion to be filed by 5/10/93 response due 5/23 (jdj)

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- 4/27/93 — Case closed/stayed per order of D.J. (see #18) (jdj)
- 5/11/93 19 Motion by Reasegueros for reconsideration of [18-1] memorandum order (jdj)
- 5/11/93 20 Memorandum by Reasegueros in support of [19-1] motion for reconsideration of [18-1] memorandum order (jdj)
- 5/25/93 21 Response by Maritima, Sky Reefer, M/V in opposition to [19-1] motion for reconsideration of [18-1] memorandum order (jdj)
- 6/2/93 22 Reply by Bacchus, Reasegueros to response to [19-1] motion for reconsideration of [18-1] memorandum order (jdj)
- 7/22/93 23 Judge Mark L. Wolf . Order amending Memorandum & Order of 4/19/93 and certifying for immediate appeal to the Court of Appeals for the first circuit. (jdj)
- 9/16/93 — Upon notification from plaintiffs attorney that the 7/22/93 Memorandum & Order was not recieved, it has consequently been mailed this date, 9/16/93 to all counsel. (jdj) [Edit date 09/16/93]
- 9/29/93 24 Motion by Bacchus, Reasegueros to extend time for Interlocutory Appeal, FILED.(c/s) (cmg) [Entry date 10/01/93]
- 9/29/93 — Judge Mark L. Wolf . Endorsed Order granting [24-1] motion to extend time for Interlocutory Appeal . . . ORDERED that plaintiffs shall have 10 days from date of this Order to appeal from Memorandum and Order issued on 4/19/93, FILED.(cc/cl) (cmg) [Entry date 10/01/93]

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11/1/93 25 Order from Court of Appeals, ENTERED.
". . . petition for leave to appeal under 28
U.S.C. Sec. 1292(b) is granted." (eaf) [Entry
date 11/09/93]
11/9/93 — Transmitted supplemental record on appeal:
district court pleadings (eaf)
11/9/93 — Transmitted supplemental record on appeal:
district court record (eaf) [Entry date
11/10/93]
11/10/93 26 Letter filed by Stanley McDermott dated
11/8/93 to Mr Scigliano Re: attached check
for \$105 (jdj)
11/17/93 — USCA appeal fees received \$ 105.00 (eaf)

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UNITED STATES COURT OF APPEALS
FOR THE FIRST CIRCUIT

No. 93-2179

VIMAR SEGUROS Y REASEGUROS, S.A.,

Plaintiffs, Appellants,

—v.—

M/V SKY REEFER, HER ENGINES ETC.,
and M.H. MARITIMA, S.A.,

Defendants, Appellees.

JUDGMENT

Entered: July 7, 1994

This cause came on to be heard on appeal from the United States District Court for the District of Massachusetts, and was argued by counsel.

Upon consideration whereof, it is now here ordered, adjudged and decreed as follows: The judgment of the District Court is affirmed.

By The Court:

FRANCIS P. SCIGLIANO, Clerk

By: [ILLEGIBLE]
Chief Deputy Clerk

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UNITED STATES COURT OF APPEALS
FOR THE FIRST CIRCUIT

No. 93-2179

VIMAR SEGUROS Y REASEGUROS, S.A.,
Plaintiffs, Appellants,

—v.—

M/V SKY REEFER, HER ENGINES ETC.,
and M.H. MARITIMA, S.A.,
Defendants, Appellees.

ERRATA SHEET

The opinion of this court issued on July 7, 1994, is amended as follows:

On page 8, first full paragraph, line 1: Replace "Moveover" with "Moreover."

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UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF MASSACHUSETTS

No. 91-13345 WF

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES

Plaintiffs,

—versus—

M/V SKY REEFER, her engines, etc., *in rem*,
and M.H. MARITIMA, S.A., *in personam*

Defendants.

COMPLAINT

Plaintiffs Vimar Seguros y Reasegueros, S.A. ("Vimar") and Bacchus Associates ("Bacchus"), for their complaint against the M/V SKY REEFER, her engines, etc., *in rem*, and M. H. Maritima, S.A. ("Maritima"), *in personam*, in a cause of action both civil and maritime, aver as follows:

1.

Jurisdiction is based on 28 U.S.C. § 1333 and venue in this district is proper under 28 U.S.C. § 1391(b)(2). This is an admiralty and maritime claim within the meaning of Rule 9(h) of the Federal Rules of Civil Procedure.

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2.

Vimar is a corporation organized and existing under the laws of Spain with its principal place of business in Madrid. At all pertinent times it insured that certain cargo of Moroccan oranges and lemons laden on board the SKY REEFER ("the cargo") and transported from Agadir, Morocco to New Bedford, Massachusetts under that certain Agadir/New Bedford bill of lading No. 1 dated February 8, 1991.

3.

Bacchus is a general partnership existing under the laws of the State of New York with its principal place of business in New York, N.Y. At all pertinent times it was the owner of the cargo, the holder in due course of the aforesaid bill of lading and the insured under Vimar's policy of insurance on the cargo.

4.

The SKY REEFER is a four hatch refrigerated cargo vessel of 5,132 gross tons, bearing Official Number 18163-89 under the Panamanian flag. During the pendency of process herein it will be within this district and the jurisdiction of this Court.

5.

Maritima is a corporation organized under the laws of Panama and was at all material times the owner and/or operator of the SKY REEFER, doing business in this district and within the jurisdiction of this Court.

6.

On or about February 8, 1991, in Agadir, Morocco, the SKY REEFER lifted the cargo, consisting of 2,052 pallets of

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Moroccan oranges and 6 pallets of Moroccan lemons, in good order and condition, for carriage to New Bedford, Massachusetts.

7.

Thereafter, the vessel sailed to New Bedford, where the cargo was discharged and delivered in a severely damaged condition, due to the negligence of Maritima or those for whom it is responsible and/or the unseaworthiness of the SKY REEFER.

8.

On account of the damage to the cargo, plaintiffs Vimar and Bacchus have sustained losses totalling approximately \$1,033,442.90.

9.

On account of the damage to the cargo, Vimar, on or about October 7, 1991, paid Bacchus an insured loss in the sum of \$733,442.90, pursuant to the terms and conditions of the applicable policy of insurance. Accordingly, Vimar is subrogated *pro tanto* to Bacchus's rights against Maritima and the SKY REEFER.

10.

On account of the damage to the cargo, Vimar has incurred additional surveying fees and costs in an amount now estimated to be \$75,000.00.

11.

All and singular, the matters alleged are true and correct. Plaintiffs reserve the right to amend and supplement this complaint as further facts become known.

WHEREFORE, plaintiffs pray that:

1. Maritima be served with a copy of this complaint, together with a summons to appear and answer under oath all and singular the matters aforesaid;

2. The Court order, adjudge and decree that Maritima pay to plaintiffs the losses sustained by them, together with interest thereon and all costs and disbursements;

3. The SKY REEFER be arrested and sold to satisfy plaintiffs' claims as aforesaid; and

4. Plaintiffs have such other and further relief in the premises as in law and justice they may be entitled to receive.

Dated: Boston, Massachusetts
December 20, 1991

MILGRIM THOMAJAN & LEE P.C.

/s/ THOMAS I. ELKIND

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THOMAS H. WALSH

Thomas H. Walsh

Subscribed and sworn to before me this 10th day of February, 1992.

LINDA A. [ILLEGIBLE]

Notary Public

My Commission Expires: 1/3/97

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UNITED STATES DISTRICT COURT
DISTRICT OF MASSACHUSETTS

CIVIL ACTION No. 91-13345-WF

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES,

Plaintiffs,

v.

M/V SKY REEFER, her engines, etc., *in rem*,
and M.H. MARITIMA, S.A., *in personam*,

Defendants.

M.H. MARITIMA'S ANSWER TO PLAINTIFFS'
IN PERSONAM CLAIM

M.H. Maritima, S.A., ("Maritima") answers plaintiffs' Complaint (the "Complaint"), for purposes of orderly proceedings before this Court, but without waiver of or prejudice to its rights to seek a stay of this action pending arbitration. Maritima answers the Complaint in numbered paragraphs corresponding to those of the Complaint.

1. Paragraph 1 sets forth jurisdictional allegations to which no response is requested.

2. Maritima lacks knowledge or information sufficient to form a belief as to the incorporation and principal place of business of Vimar Seguros Y Reasegueros, S.A. Maritima admits that a certain cargo of oranges and lemons was transported from Agadir, Morocco to New Bedford, Massachusetts. Maritima states that the bill of lading referred to in Para-

graph 2 speaks for itself. Plaintiffs' allegation regarding the shipment of cargo under a certain bill of lading is a conclusion of law to which no response is required. Maritima denies the remaining allegations set forth in Paragraph 2.

3. Maritima lacks knowledge or information sufficient to form a belief as to the truth of the allegations asserted in Paragraph 3.

4. Maritima admits that the SKY REEFER is a refrigerated cargo vessel, bearing Official Number 18163-89 under the Panamanian flag. Maritima denies that the M/V SKY REEFER will be within this District and the jurisdiction of this Court during the pendency of process herein. Maritima also denies the remaining allegations set forth in Paragraph 4.

5. Maritima admits that it is a corporation organized under the laws of Panama. Maritima also admits that it was at all material times the owner of the SKY REEFER. Maritima denies the remaining allegations set forth in Paragraph 5.

6. Maritima admits that on or about February 8, 1991, in Agadir, Morocco, 2,052 pallets of Moroccan oranges and 6 pallets of Moroccan lemons were loaded on board the SKY REEFER for delivery to New Bedford, Massachusetts. Maritima denies the remaining allegations set forth in Paragraph 6.

7. Maritima admits that the SKY REEFER sailed to New Bedford, Massachusetts where the cargo was discharged. Maritima denies the remaining allegations set forth in Paragraph 7.

8. Maritima denies the allegations set forth in Paragraph 8.

9. Maritima lacks knowledge or information sufficient to form a belief as to the truth of the allegations set forth in Paragraph 9.

10. Maritima denies the allegations set forth in Paragraph 10.

11. Maritima denies the allegations set forth in Paragraph 11.

FIRST AFFIRMATIVE DEFENSE

This Court lacks personal jurisdiction over Maritima.

SECOND AFFIRMATIVE DEFENSE

Plaintiffs have made insufficient service of process upon Maritima.

THIRD AFFIRMATIVE DEFENSE

The process utilized by the plaintiffs is insufficient.

FOURTH AFFIRMATIVE DEFENSE

Venue in this Court is improper.

FIFTH AFFIRMATIVE DEFENSE

The Complaint fails to state a claim upon which relief can be granted.

SIXTH AFFIRMATIVE DEFENSE

The plaintiffs claim must be arbitrated and pursuant to the provisions of the Federal Arbitration Act, 9 U.S.C., §§ 1-15, this action must be stayed pending arbitration.

SEVENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were the result of negligent or improper stowage for which Maritima is not liable.

EIGHTH AFFIRMATIVE DEFENSE

Plaintiffs did not have title to sue at the relevant time, and therefore, are not the real parties in interest.

NINTH AFFIRMATIVE DEFENSE

Plaintiffs failed to mitigate their alleged damages.

TENTH AFFIRMATIVE DEFENSE

Plaintiffs are barred from recovery against Maritima to the extent that plaintiffs seek recovery for loss resulting from plaintiff Bacchus Associates' ("Bacchus") own fault or the fault of Bacchus' agents, servants, employees or persons whom Bacchus controlled or for whom Bacchus is responsible.

ELEVENTH AFFIRMATIVE DEFENSE

The liability of Maritima, if any (which is specifically denied), is limited by provisions of the Carriage of Goods by Sea Act ("COGSA"), 46 U.S.C. 1300, *et seq.*, and by provisions in the governing contract of carriage.

TWELFTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were due to an act of God.

THIRTEENTH AFFIRMATIVE DEFENSE

If the plaintiff sustained any damages, which is denied, any such damages were the result of insufficiency of packing.

FOURTEENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained damages, which is denied, any such damages were the result of a peril of the sea.

FIFTEENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were the result of latent defects not discoverable by due diligence.

SIXTEENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were the result of the errors and/or omissions of third persons over whom Maritima has no control, and for whose acts Maritima has no legal responsibility.

SEVENTEENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were the result of the acts or omissions of the shipper or owner of the goods, or its or their agent or representative.

EIGHTEENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages arose without the actual fault and/or privity of the carrier and without the fault or neglect of the agents or servants of the carrier.

NINETEENTH AFFIRMATIVE DEFENSE

Plaintiffs are barred from recovery by their own comparative or contributory negligence, failures, or other misconduct.

TWENTIETH AFFIRMATIVE DEFENSE

Due diligence was used to make this vessel seaworthy and to secure that it was properly manned, equipped and supplied and to make the holds and all other parts of the vessel in which goods were carried safe and fit for their reception, carriage and preservation. Accordingly, if the shipment referred to in the complaint sustained any loss, shortage or damage due to any unseaworthiness of the vessel, which is denied, Maritima is not under any liability therefor.

TWENTY-FIRST AFFIRMATIVE DEFENSE

If any shortage, loss, or damage occurred as alleged, the said shortage, loss, or damage was due to a cause for which Maritima is excused from liability under the terms of the aforesaid COGSA and/or the terms of the contract of carriage and/or the general maritime law.

TWENTY-SECOND AFFIRMATIVE DEFENSE

If any loss or damage to the goods, as alleged in the Complaint, occurred while they were on board the said vessel, which is denied; and if it be held that the loss or damage arose or resulted from the act, neglect or default of the Master, mariner, pilot or the servants of the carrier in the navigation or in the management of the vessel, Maritima is not under any liability for any such loss or damage.

TWENTY-THIRD AFFIRMATIVE DEFENSE

If plaintiffs sustained any damages, which is denied, any such damages were due to inherent vice of the cargo.

TWENTY-FOURTH AFFIRMATIVE DEFENSE

Plaintiffs are barred from recovery against Maritima to the extent that plaintiffs seek recovery for loss or damage which is excused or not recoverable under the terms of a February 1, 1991 voyage charter party entered into between Bacchus and Nichiro Corporation.

WHEREFORE, Maritima demands that this action be dismissed, with costs in its favor, and prays that it may have such other and further relief as may be just.

M.H. MARITIMA, S.A.,

By its attorneys,

/s/ CHRISTOPHER J. TROMBETTA

Thomas H. Walsh, Jr.

BBO #514320

John J. Finn

BBO #166060

Christopher J. Trombetta

BBO #556923

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UNITED STATES DISTRICT COURT
DISTRICT OF MASSACHUSETTS

CIVIL ACTION No. 91-13345-WF

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES,

Plaintiffs,

—v.—

M/V SKY REEFER, her engines, etc., *in rem*,
and M.H. MARITIMA, S.A., *in personam*

Defendants.

CLAIMANT M.H. MARITIMA'S
ANSWER TO PLAINTIFFS' IN REM CLAIM

Claimant M.H. Maritima, S.A., defending this action on behalf of the motor vessel SKY REEFER, and expressly restricting its appearance herein to the defense of the *in rem* claim, herewith answers plaintiffs' Complaint (the "Complaint"), for purposes of orderly proceedings before this Court, but without waiver of or prejudice to its rights to seek a stay of this action pending arbitration. Claimant answers the Complaint in numbered paragraphs corresponding to those of the Complaint.

1. Paragraph 1 sets forth jurisdictional allegations to which no response is required.

2. Claimant lacks knowledge or information sufficient to form a belief as to the incorporation and principal place of

business of Virmar Seguros Y Reaseguros, S.A. Claimant admits that a certain cargo of oranges and lemons was transported from Agadir, Morocco to New Bedford, Massachusetts. Claimant states that the bill of lading referred to in Paragraph 2 speaks for itself. Plaintiffs' allegation regarding the shipment of cargo under a certain bill of lading is a conclusion of law to which no response is required. Claimant denies the remaining allegations set forth in Paragraph 2.

3. Claimant lacks knowledge or information sufficient to form a belief as to the truth of the allegations asserted in Paragraph 3.

4. Claimant admits that the SKY REEFER is a refrigerated cargo vessel, bearing Official Number 18163-89 under the Panamanian flag. Claimant denies that the M/V SKY REEFER will be within this District and the jurisdiction of this Court during the pendency of process herein. Claimant also denies the remaining allegations set forth in Paragraph 4.

5. Claimant admits that M.H. Maritima is a corporation organized under the laws of Panama. Claimant also admits that it was at all material times the owner of the SKY REEFER. Claimant denies the remaining allegations set forth in Paragraph 5.

6. Claimant admits that on or about February 8, 1991, in Agadir, Morocco, 2,052 pallets of Moroccan oranges and 6 pallets of Moroccan lemons were loaded on board the SKY REEFER for delivery to New Bedford, Massachusetts. Claimant denies the remaining allegations, set forth in Paragraph 6.

7. Claimant admits that the SKY REEFER sailed to New Bedford, Massachusetts where the cargo was discharged. Claimant denies the remaining allegations set forth in Paragraph 7.

8. Claimant denies the allegations set forth in Paragraph 8.

9. Claimant lacks knowledge or information sufficient to form a belief as to the truth of the allegations set forth in Paragraph 9.

10. Claimant denies the allegations set forth in Paragraph 10.

11. Claimant denies the allegations set forth in Paragraph 11.

FIRST AFFIRMATIVE DEFENSE

The Complaint fails to state a claim upon which relief can be granted.

SECOND AFFIRMATIVE DEFENSE

Venue in this Court is improper.

THIRD AFFIRMATIVE DEFENSE

The plaintiffs' claim must be arbitrated and pursuant to the provisions of the Federal Arbitration Act, 9 U.S.C., §§ 1-15, this action must be stayed pending arbitration.

FOURTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were the result of negligent or improper stowage for which the Claimant and/or vessel are not liable.

FIFTH AFFIRMATIVE DEFENSE

Plaintiffs did not have title to sue at the relevant time, and therefore, are not the real parties in interest.

SIXTH AFFIRMATIVE DEFENSE

Plaintiffs failed to mitigate their alleged damages.

SEVENTH AFFIRMATIVE DEFENSE

Plaintiffs are barred from recovery against the Claimant and/or vessel to the extent that plaintiffs seek recovery for loss resulting from plaintiff Bacchus Associates' ("Bacchus") own fault or the fault of Bacchus' agents, servants, employees or persons whom Bacchus controlled or for whom Bacchus is responsible.

EIGHTH AFFIRMATIVE DEFENSE

The liability of the vessel and/or Claimant, if any (which is specifically denied), is limited by provisions of the Carriage of Goods by Sea Act ("COGSA"), 46 U.S.C. 1300, *et seq.*, and by provisions in the governing contract of carriage.

NINTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were due to an act of God.

TENTH AFFIRMATIVE DEFENSE

If the plaintiff sustained any damages, which is denied, any such damages were the result of insufficiency of packing.

ELEVENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained damages, which is denied, any such damages were the result of a peril of the sea.

TWELFTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were the result of latent defects not discoverable by due diligence.

THIRTEENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were the result of the errors and/or omissions of third persons over whom Claimant has no control, and for whose acts Claimant has no legal responsibility.

FOURTEENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages were the result of the acts or omissions of the shipper or owner of the goods, or his or their agent or representative.

FIFTEENTH AFFIRMATIVE DEFENSE

If the plaintiffs sustained any damages, which is denied, any such damages arose without the actual fault and/or privity of the carrier and without the fault or neglect of the agents or servants of the carrier.

SIXTEENTH AFFIRMATIVE DEFENSE

Plaintiffs are barred from recovery by their own comparative or contributory negligence, failures, or other misconduct.

SEVENTEENTH AFFIRMATIVE DEFENSE

Due diligence was used to make this vessel seaworthy and to secure that it was properly manned, equipped and supplied

and to make the holds and all other parts of the vessel in which goods were carried safe and fit for their reception, carriage and preservation. Accordingly, if the shipment referred to in the complaint sustained any loss, shortage or damage due to any unseaworthiness of the vessel, which is denied, neither the vessel nor the Claimant is under any liability therefor.

EIGHTEENTH AFFIRMATIVE DEFENSE

If any shortage, loss, or damage occurred as alleged, the said shortage, loss, or damage was due to a cause for which the Claimant and/or vessel is excused from liability under the terms of COGSA and/or the terms of the contract of carriage and/or the general maritime law.

NINETEENTH AFFIRMATIVE DEFENSE

If any loss or damage to the goods, as alleged in the Complaint, occurred while they were on board the said vessel, which is denied; and if it be held that the loss or damage arose or resulted from the act, neglect or default of the Master, mariner, pilot or the servants of the carrier in the navigation or in the management of the vessel, neither the vessel nor the Claimant is under any liability for any such loss or damage.

TWENTIETH AFFIRMATIVE DEFENSE

If plaintiffs sustained any damages, which is denied, any such damages were due to inherent vice of the cargo.

TWENTY-FIRST AFFIRMATIVE DEFENSE

Plaintiffs are barred from recovery against the Claimant and/or vessel to the extent that plaintiffs seek recovery for

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loss or damage which is excused or not recoverable under the terms of a February 1, 1991 voyage charter party entered into between Bacchus and Nichiro Corporation.

WHEREFORE, Claimant demands that this action be dismissed, and that its security be released, with costs in its favor, and prays that it may have such other and further relief as may be just.

M.H. Maritima, S.A., as owner
and claimant of the M/V SKY
REEFER, expressly restricting
its appearance herein to the
defense of the *in rem* claim,

By its attorneys,

/s/ CHRISTOPHER J. TROMBETTA
Thomas H. Walsh, Jr.
BBO #514320
John J. Finn
BBO #166060
Christopher J. Trombetta
BBO #556923
BINGHAM, DANA & GOULD
150 Federal Street
Boston, MA 02110
(617) 951-8000

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[LETTERHEAD OF BINGHAM, DANA & GOULD]

February 19, 1991

Bacchus Associates
22 Row B
Hunts Point
Bronx, New York

re: "SKY REEFER" Alleged Cargo Damage
New Bedford, MA - February 1991

Dear Sirs:

In consideration of your agreeing not to arrest the M/V SKY REEFER and agreeing not to seize or attempt to seize any other ships or property belonging to M.H. Maritima, S.A., all in respect of the claims referred to in paragraph 1 below, The Japan Ship Owners' Mutual Protection and Indemnity Association hereby undertakes and agrees,

1. To file or cause to be filed a claim of owner of the M/V SKY REEFER on behalf of the owners of said vessel, in any proceedings which you timely commence against the vessel in the United States District Court for the District of Massachusetts for loss, damage or expense arising out of the alleged damage to cargo discharged at New Bedford, Massachusetts between February 17-19, 1991; and

2. In the event a final decree (after appeal, if any) be entered in your favor against the M/V SKY REEFER and/or her owner for the damage in question, whether on an arbitration award or otherwise, then the undersigned Association agrees to pay and satisfy said final decree for any sum up to but not exceeding USD 500,000 plus interest and costs, (including costs of attorneys fees, if any be awarded), or any lesser amount decreed by the court or arbitrators, or settled between the parties without final decree being rendered; and

3. Upon demand to cause to be filed a bond in form and sufficiency of surety satisfactory to the court in the above amount securing your claims against the said vessel in the aforementioned proceedings. It is understood and agreed that in the event the bond referred to in paragraph 3 herein is filed, then the undersigned Association shall be released from the obligations provided for in paragraph 2 herein.

It is understood and agreed that all of the foregoing is without prejudice to any claim, rights or defenses, including rights to limitation of, or exoneration from, liability which the M/V SKY REEFER and/or her owner may have under the law applicable to your above-described claims, none of which are to be regarded as waived, and the giving of this letter of undertaking is not to be construed as an admission of liability.

It is further understood that this letter is intended to place you in the same position, to the extent herein provided, as if an admiralty bond or undertaking in the customary form in the principal sum of USD 500,000 had been provided by the owner of said vessel to obtain the release of the M/V SKY REEFER had she been arrested for the claims secured hereby.

It is understood and agreed that the execution of this letter by Thomas H. Walsh, Jr., and Bingham, Dana & Gould shall not be construed as binding upon him personally nor binding upon the firm of Bingham, Dana & Gould, but is to be binding only upon The Japan Ship Owners' Mutual Protection and Indemnity Association.

Very Truly yours,

THE JAPAN SHIP OWNER'S MUTUAL
PROTECTION AND INDEMNITY
ASSOCIATION

By: BINGHAM, DANA & GOULD

By: _____
Thomas H. Walsh, Jr.

(As Attorney-in-Fact for the above
limited purpose only as per telex
authority received by Bingham, Dana
& Gould from the Japan Ship Owners'
Mutual Protection and Indemnity Asso-
ciation on February 19, 1991.

UNITED STATES DISTRICT COURT
DISTRICT OF MASSACHUSETTS

CIVIL ACTION No. 91-13345-WF

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES,

Plaintiffs,

—v.—

M/V SKY REEFER, her engines etc., *in rem*,
and M.H. MARITIMA, S.A., *in personam*,

Defendants.

MOTION TO COMPEL ARBITRATION AND TO
STAY PROCEEDINGS PENDING ARBITRATION

M.H. Maritima, S.A. ("Maritima") hereby moves for a stay
of the captioned proceedings pending arbitration.

Specifically, Maritima moves that this Court:

1. Stay the captioned proceedings pending arbitration of the present dispute in Tokyo, Japan, as provided for in the arbitration clause contained in the relevant bill of lading;
2. Stay all discovery in the captioned proceedings pending arbitration or the outcome of the court's decision regarding this motion; and
3. Compel arbitration in Tokyo, Japan of the present dispute between the parties as required by the arbitration clause contained in the relevant bill of lading.

As grounds therefor Maritima relies on the Memorandum submitted herewith.

WHEREFORE, Maritima requests that its Motion to Compel Arbitration and to Stay Proceedings Pending Arbitration be allowed.

REQUEST FOR ORAL ARGUMENT

Maritima requests oral argument regarding the issues raised in its Motion and supporting Memorandum.

M. H. Maritima, S.A.,

By its attorneys,

CHRISTOPHER J. TROMBETTA

Thomas H. Walsh, Jr.

BBO #14320

John J. Finn

BBO #166060

Christopher J. Trombetta

BBO #556923

BINGHAM, DANA & GOULD

150 Federal Street

Boston, MA 02110

(617) 951-8000

UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF MASSACHUSETTS

C.A. No. 91-13345WF

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES

Plaintiffs,

—versus—

M/V SKY REEFER, her engines, etc., *in rem*,
and M.H. MARITIMA, S.A., *in personam*

Defendants.

State of New Jersey)
 :
County of Union)

Affidavit of Edward T. McArdle

Edward T. McArdle, being duly sworn, deposes and says:

1. I am the principal of McArdle Associates, P.O. Box 1319, Summit, New Jersey 07901, and regularly act as an independent consultant to the marine shipping industry, specializing in refrigerated fruit cargoes.

2. I was hired by John Mangia, the principal of Bacchus Associates ("Bacchus"), to oversee the disposition of the cargo of damaged fruit discharged *ex* the M/V SKY REEFER in New Bedford, Massachusetts in February 1991. I am familiar with the claim that Bacchus submitted to its insurers,

Vimar Seguros y Reaseguros, S.A. ("Vimar"), and the claims that Bacchus and Vimar have filed in this action.

3. I submit this affidavit in opposition to the defendants' motion to stay this action pending arbitration in Tokyo. The exhibits I refer to in this affidavit are the exhibits that are appended to plaintiffs' opposition memorandum.

4. Bacchus, a wholesaler, imports and sells perishable fruit throughout the Northeastern United States. Its practice is to sell the imported fruit to retailers on FOB terms at the entry ports in the Northeastern United States, including New Bedford, Massachusetts and New York City. Much of the fruit sold to New England retailers is imported into New Bedford.

5. As the bill of lading, Exh. 1, recites, the cargo on board the Sky Reefer consisted of 2052 pallets of oranges and 6 pallets of lemons, each pallet consisting of 63 boxes (stacked 3x3x7 on each pallet). The cargo occupied the entire reach of the vessel's four cargo holds. Bacchus purchased the fruit, which was of Moroccan origin, from Galaxie Negoce S.A., the Moroccan company listed as the shipper in the bill of lading.

6. The vessel arrived in New Bedford listing to starboard, with much of the palletized cargo crushed and broken. The apparent cause of the damage was the crew's failure to secure the stow adequately for a trans-Atlantic crossing in mid-winter. The cargo was thereupon discharged in New Bedford into the custody and control of Marine Terminal, Inc. ("Marine Terminal"), a refrigerated storage facility able to handle large perishable fruit cargoes.

7. The damaged fruit was inspected in New Bedford on one or more occasions by a number of surveyors, including, in Bacchus's behalf, by John M. Hughes, of Southampton, Pennsylvania; in Vimar's behalf, by Alan Harley, of Associated Independent Marine Surveyors, Inc. in New York; in the vessel's behalf, by Capt. John H. Wilson III of Boston; and in Marine Terminal's behalf, by Capt. Michael Taylor, the terminal manager in New Bedford.

8. Marine Terminal thereupon released the undamaged fruit to Bacchus's retail customers but was unwilling to recondition the large volume of damaged fruit from the Sky Reefer.

9. Accordingly, Bacchus, to mitigate its losses, trucked the damaged fruit to reconditioning facilities in the New York area who specialize in reconditioning damaged fruit. Such reconditioning consists, for the most part, in (a) examining the fruit; (b) repackaging the fruit that remains marketable; and (c) destroying the fruit that is not marketable. The facilities to whom Bacchus shipped the damaged fruit *ex* the Sky Reefer are: (a) Donato Bros., Inc., Buena, New Jersey; (b) Timberline Cold Storage Inc., Pitman, New Jersey; (c) Pig-Tainer Express Corp., Elizabeth, New Jersey; and (d) Lucca's Freezer & Cold Storage Inc., Hammonton, New Jersey.

10. Bacchus's out-of-pocket losses exceed \$1 million. The losses consist of (a) the extra trucking costs from New Bedford to the reconditioning facilities; (b) the reconditioning expenses; (c) the value of the lost fruit; (d) the diminution in value of the fruit that, following reconditioning, was sold to retail customers at discounts; and (e) the market value loss on the fruit that could not be sold to customers on the anticipated FOB New Bedford terms. Vimar, Bacchus's insurer, has paid Bacchus \$733,442.90 in respect of its losses on the Sky Reefer cargo and is subrogated to Bacchus's rights in this action to the extent of its payment to Bacchus.

11. I was responsible for submitting Bacchus's insurance claim to Transatlantic Marine Claims Agency ("TMCA"), which acted as adjusters in Vimar's behalf. I reviewed with TMCA, in order for it to process Bacchus's claim, all the third-party and resale invoices supporting Bacchus's losses.

12. The claim review undertaken by TMCA was laborious and extensive, due to the voluminous records detailing the movement of the damaged fruit from Marine Terminal in New Bedford to the various reconditioning facilities in New Jersey and eventually to Bacchus's retail customers in the New Jersey/New York area. Vimar paid Bacchus's claim based on

the extensive claim documentation that I furnished to and reviewed with TMCA.

13. The proposed arbitration in Tokyo would be extremely prejudicial to Bacchus. The surveyors who examined the damaged fruit in New Bedford and who thus are in the best position to testify concerning the cause and extent of the damage to the cargo, including the vessel's P&I surveyor, are all located in the Northeastern United States. So, too, are the Bacchus representatives who made the decisions concerning the reconditioning and resale of the damaged fruit and the personnel of the reconditioning facilities who supervised the reprocessing and repackaging of the fruit.

14. Likewise, the records documenting the reconditioning and resale of the damaged cargo were all prepared in the Northeastern United States, where the insurance claim was also submitted and adjusted. It would be extremely burdensome for Bacchus to be required to adduce all this evidence and testimony in Tokyo, in the Japanese language, simply because the bill of lading, which Bacchus had no role in preparing, contains a Tokyo arbitration clause.

15. Bacchus did not negotiate and never agreed to the Japanese choice-of-law clause and the Tokyo arbitration clause in the Nichiro Corporation form bill of lading which the shipper of the cargo, Galaxie Negoce S.A., transferred to Bacchus. Nichiro's agents issued the Nichiro-form bill of lading to Galaxie in Agadir, Morocco, and thereafter Galaxie negotiated the bill of lading to Bacchus in connection with the sale of the fruit. It is obvious that Nichiro, a Japanese company, includes the Japanese choice-of-law and Tokyo arbitration clause in the bill of lading solely for its convenience and the convenience of its Japanese insurers. Given a choice, Bacchus would never willingly agree to arbitrate with a Japanese carrier in Tokyo (a) a bill-of-lading claim that would be governed by the United States Carriage of Goods by Sea Act, where (b) virtually all the material witnesses would be located in the United States.

16. Bacchus threatened to arrest the Sky Reefer at the time of discharge in order to enforce its maritime lien on the vessel in accordance with applicable United States law. To prevent the arrest of the vessel, the vessel's P&I club furnished a undertaking in the sum of \$500,000 as substitute security for the vessel. Exh. 5.

17. In the letter of undertaking the vessel's P&I club unconditionally agreed to cause an appearance to be entered in this Court in the vessel's behalf in order to perfect this Court's jurisdiction over the vessel. *Id.* ¶ 1. In the letter of undertaking, the P&I club did not purport to reserve the right to arbitrate this claim in Tokyo. Bacchus thereafter commenced this action so that this Court could (a) exercise the *in rem* jurisdiction over the vessel conferred in the letter of undertaking and thereby (b) enforce Bacchus's maritime lien over the vessel.

18. Accordingly, Bacchus respectfully requests that this Court deny Maritima's motion to stay this action pending arbitration in Tokyo.

Dated: Summit, New Jersey
May 20, 1992

Edward T. McArdle

Sworn to and subscribed
before me, Notary, this
20th day of May, 1992

Notary Public

UNITED STATES DISTRICT COURT
DISTRICT OF MASSACHUSETTS

CIVIL ACTION No. 91-13345-WF

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES,

Plaintiffs,

—v.—

M/V SKY REEFER, her engines, etc., *in rem*,
and M.H. MARITIMA, S.A., *in personam*,

Defendants.

AFFIDAVIT OF SEIICHI NAKAMURA

I, Seiichi Nakamura, being duly sworn, depose and say:

1. Unless otherwise indicated, this affidavit is based upon my personal knowledge.

2. I am associated with the Nakamura Law Office and am a practicing attorney at law, in good standing, in Tokyo, Japan.

3. I am familiar with proceedings conducted by the Tokyo Maritime Arbitration Commission ("TOMAC") at the Japan Shipping Exchange, Inc. and the rules and law applied in such proceedings.

4. English may be and is at times spoken in proceedings conducted by TOMAC.

5. I have reviewed the complaint filed by the plaintiffs in *Vimar Seguros Y Reaseguros, S.A. and Bacchus Associated v. M/V SKY REEFER, her engines, etc., in rem, and M.H. Maritima, S.A. in personam*, C.A. No. 91-13345-WF (D. Mass.) ("the SKY REEFER action").

6. I am familiar with the facts underlying the SKY REEFER action.

7. Based on my review of the plaintiffs' complaint, my familiarity with the facts underlying the SKY REEFER action, and my knowledge of the rules and law applied in proceedings by TOMAC, I believe that the Japanese Hague Rule enactment will govern the rights and liabilities of the parties with respect to the claims asserted in the complaint.

8. The Japanese Hague Rule enactment is based on and essentially adopts the principles set forth in the Hague Rules.

/s/ SEIICHI NAKAMURA
Seiichi Nakamura

Date: May 26, 1992

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Shipper	GALAXIE NEGOCE S.A. 34, AVENUE HASSAN SEGHIR CASABLANCA / MOROCCO		Reefer	B/L No.	0001
Consigned to order of	BACCHUS ASSOCIATES 22 ROW B HUNTS POINT TERMINAL MARKET BRONX, N.Y.		BILL OF LADING [STAMP OF NICHIRO]		
Notify Party	BACCHUS ASSOCIATES 22 ROW B HUNTS POINT TERMINAL MARKET BRONX, N.Y.		NICHIRO CORPORATION SHIPPED on board the Vessel, the Goods as indicated below, in apparent good order and condition unless otherwise stated herein, to be carried to the port of discharge or so near thereto as she may safely get, and there to be delivered in like good order and condition subject to the conditions and exceptions on the face and back hereof. One of the original Bills of Lading must be surrendered duly endorsed in exchange for the Goods or delivery order. IN WITNESS whereof, the number of original Bills of Lading stated below have been signed, one of which being accomplished, the other(s) to be void.		
Local Vessel	From				
Ocean Vessel	Voy. No.	Port of Loading			
SKY REEFER		AGADIR			

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Port of Discharge NEW BEDFORD		For Transhipment to		Final destination for the merchandise shipped	
Marks & Numbers	No. of P'kgs or Units	Kind of Packages or Units: Description of Goods	Temperature	Gross Weight	Measurement
GALAXIE NEGOCE	2052	PALETTES PEA 315 CONTENANT 129 231 COLIS NAVEL			
[STAMP COPY NOT NEGOTIABLE]	6	PALETTES PEA 315 CONTENANT 378 COLIS CIRTONS CLEAN ON BOARD		KGS 2 138 549	
TEMP + 2°C		"MARKED FREIGHT COLLECT AN NOTIFY APPLICANT"			
Total number of Packages or Units (in words)			[STAMP ORIGINAL]		

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Merchant's [ILLEGIBLE]	Note:
The Merchant's attention is called to the fact that according to [ILLEGIBLE] of this Bill of Lading the liability of the Carrier is, in most cases, limited in respect of loss of or damage to or in connection with the Goods.	

Particulars furnished by Shipper

Freight and Charges		Revenue Tons		Rate	Per	Prepaid	Other
Ex. Rate	Prepaid at	Method of payment COLLECT		Place & Date of Issue: AGADIR LE 6/02/91			
@ ¥	Total Prepaid in Yen	Number of Original B(s)/L 3		NICHIRO CORPORATION			
				by [SEAL AND SIGNATURE OF COMPAGNIE DE NAVIGATION DÉTROIT]			

(TERMS OF BILL OF LADING CONTINUED ON BACK HEREOF)

1. Definitions

"Carrier" means the party whose name appears in the head of this Bill of Lading, including the Vessel and or her owners.

"Merchant" includes the shipper, consignor, consignee, owner and receiver of the Goods and the holder of this Bill of Lading.

"Goods" means the cargo described on the face of this Bill of Lading.

2. Acceptance

In accepting this Bill of Lading, the Merchant expressly accepts and agrees to all its terms, conditions, stipulations and exceptions whether written, typed, stamped or printed as fully as if signed by him.

3. Governing Law and Arbitration

(1) The contract evidenced by or contained in this Bill of Lading shall be governed by the Japanese law.

(2) Any dispute arising from this Bill of Lading shall be referred to arbitration in Tokyo by the Tokyo Maritime Arbitration Commission (TOMAC) of The Japan Shipping Exchange, Inc., in accordance with the Rules of TOMAC and any amendment thereto, and the award given by the arbitrators shall be final and binding on both parties.

4. Description of Goods

(1) This Bill of Lading shall be prima facie evidence of the receipt by the Carrier of the total number of packages or units enumerated overleaf.

(2) No representation is made by the Carrier as to the weight, measure, quantity, contents, quality, description, condition, marks, numbers or value of the Goods and the Carrier shall not be responsible for the accuracy thereof.

(3) The shipper warrants to the Carrier that the particulars relating to the Goods as set out overleaf have been checked by the shipper on receipt of this Bill of Lading

and that such particulars and any other particulars furnished by or on behalf of the shipper are correct.

(4) The shipper shall indemnify the Carrier against all loss, damage, delay or expenses arising or resulting from inaccuracies in or inadequacy of such particulars.

5. Exemptions

The Carrier shall not be responsible for loss or damage arising or resulting from: (1) Act, neglect, or default of the master, mariner, pilot, or the servants of the Carrier in the navigation or in the management of the Vessel; (2) Fire, unless caused by the actual fault or privity of the Carrier; (3) Perils, dangers, and accidents of the sea or other navigable waters; (4) Act of God; (5) Act of war; (6) Act of public enemies; (7) Arrest or restraint of princes, rulers or people, or seizure under legal process; (8) Quarantine restrictions; (9) Act or omission of the Merchant, his agent or representative; (10) Strikes or lockouts or stoppage or restraint of labor from whatever cause, whether partial or general; (11) Riots and civil commotions; (12) Saving or attempting to save life or property at sea; (13) Inherent defect, quality, or vice of the Goods; (14) Insufficiency of packing; (15) Insufficiency or inadequacy of marks; (16) Latent defects not discoverable by due diligence; (17) Any other cause arising without the actual fault or privity of the Carrier, or without the actual fault or neglect of the agents or servants of the Carrier.

6. Deck Cargo

The Carrier shall not be liable in any capacity whatsoever for any delay or loss of or damage to the Goods which are carried on deck and specially stated herein to be so carried, whether or not caused by the Carrier's negligence or the Vessel's unseaworthiness.

7. Hindrances, etc. Affecting Performance

If at any time the performance of the contract as evidenced by this Bill of Lading is or is likely to be affected

by any hindrance, risk, delay, difficulty or disadvantage of whatsoever kind and nature, the Carrier (whether or not the carriage is commenced) may elect

(1) to treat the performance of this contract as terminated and place the Goods at the Merchant's disposal at any place which the Carrier deems safe and convenient, whereupon the responsibility of the Carrier in respect of such Goods shall cease: or

(2) to deliver the Goods at the place designated for delivery.

In any event the Carrier shall be entitled to full freight and charges on the Goods received for transportation, and the Merchant shall pay any additional cost of carriage to and delivery and storage at such place as abovementioned.

8. Reefer Clause

(1) Seaworthiness

If before the loading of the Goods into any refrigerated holds the Carrier obtains the certificate of the Classification Society's Surveyor or other surveyor appointed either by the Merchant or the Carrier or representative of the Merchant (including the master of the other vessel from which the Vessel has received the Goods on the sea, hereinafter referred to "the Representative of the Merchant") that such refrigerated holds and the refrigerating machinery are in the opinion of the Surveyor or the other surveyor or the Representative of the Merchant fit and safe for the carriage of the Goods, the aforesaid certificate shall be conclusive evidence against the Merchant that the Vessel's refrigerated holds and refrigerating machinery were before and at the beginning of the voyage fit and safe for the reception, carriage and preservation of the Goods.

(2) Temperature Instruction

(i) If a written instruction is given by the Merchant regarding the carrying temperature of the Goods during the voyage, such instruction temperature shall apply to the period from the time when a reasonable time has elapsed after the closing of hatches thereof on to the time of the opening of the same hatches.

(ii) The carrying temperature of the Goods shall, unless otherwise instructed in writing by the Merchant, be measured at such place where the Vessel customarily carries out the measurement thereof.

(iii) The reading of carrying temperature taken pursuant to the preceding paragraph (ii) hereof shall be used in deciding whether the instructed temperature has been maintained or not.

(3) Fluctuation of Temperature during Cargo Operation

The Carrier shall not be liable for loss of or damage to the Goods resulting from the fluctuation of the temperature in the refrigerated holds during loading, discharging or transshipping operation of the Goods.

9. Defences and Limits for Carrier, Servants, etc.

(1) The defences and limits of liability provided for in this Bill of Lading shall apply in any action against the Carrier for loss of or damage to or in connection with the Goods, whether the action be founded in contract or in tort.

(2) If an action is brought against a servant, agent or independent contractor of the Carrier, such person shall be entitled to avail himself of the defences and limits of liability which the Carrier is entitled to invoke under the Bill of Lading.

(3) The aggregate of the amounts recoverable from the Carrier and his servants, agents or independent contrac-

tors shall in no case exceed the limits provided for in this Bill of Lading.

10. Limitation of Liability

The Carrier shall in no event be liable for any loss of or damage to or in connection with the Goods in an amount exceeding One Hundred Thousand Yen in Japanese Currency (¥ 100, 000) per package or unit, unless the value of the Goods higher than this amount is declared in writing by the shipper before shipment and the nature and the value thereof inserted in this Bill of Lading and extra freight is paid as agreed upon. In such case if the actual value of the Goods per package or unit exceeds such declared value, the value shall nevertheless be deemed to be declared-value. The Carrier's liability shall not exceed such declared-value and any partial loss or damage shall be adjusted pro rata on the basis of such value.

11. Notice of Claim and Time Bar

(1) Unless notice of loss of or damage to the Goods, indicating the general nature of such loss or damage shall be given in writing to the Carrier or his agent at the port of discharge before or at the time of the removal of the Goods into the custody of the person entitled to take delivery thereof under this Bill of Lading or, if the loss or damage is not apparent, within three days of the delivery of the Goods, such removal shall be prima facie evidence of the delivery by the Carrier of the Goods as described in this Bill of Lading.

(2) In any event the Carrier shall be discharged from any liability in respect of the Goods unless arbitration is filed pursuant to Clause 3 within one year after delivery of the Goods or the date when the Goods should have been delivered.

12. Freight and Charges

(1) Freight and charges shall be deemed fully earned on receipt of the Goods by the Carrier and shall be payable in

any event, whether the Vessel and or the Goods be lost or not, or the voyage be broken up or frustrated or abandoned at any stage of the entire transit.

(2) If the particulars furnished by the shipper are incorrect, it is agreed that a sum equal to either five times the difference between the correct freight and the freight charged or to double the correct freight less the freight charged, whichever sum is the smaller, shall be payable as liquidated damages to the Carrier.

(3) The Merchant shall pay all dues, taxes and charges including consular fees levied on the Goods and all fines and or losses sustained or incurred by the Carrier in connection with laws and regulations of any government or public authorities in connection with the Goods.

(4) The shipper, consignor, consignee, owner and receiver of the Goods and holder of this Bill of Lading shall be jointly and severally liable to the Carrier for the payment of all freight and charges and for the performance of the obligation of each of them hereunder.

13. Optional Delivery

Optional delivery is only granted when arranged prior to the shipment of the Goods and expressed in this Bill of Lading. The Merchant desiring to avail themselves of the option so expressed must give notice to the Carrier's agent at the first port of the Vessel's call named in the option, at least 48 hours prior to the Vessel's arrival there, otherwise the Goods shall be discharged at any of the optional ports at the Carrier's choice and the Carrier's responsibility shall then cease.

14. Discharge of the Goods

(1) The Goods may be discharged, without notice, as soon as the Vessel is ready to unload, continuously day and night, Sundays and holidays included.

(2) If the Merchant fails to take the delivery of the Goods immediately the Vessel is ready to discharge them, the Carrier shall be at liberty to store the Goods at the risk and expense of the Merchant.

(3) In any case the Carrier's liability shall cease as soon as the Goods are lifted from the Vessel's deck or leave the Vessel's tackle.

(4) If the Goods are unclaimed during a reasonable time after completion of discharge or whenever, in the Carrier's option, the Goods will become deteriorated, decayed or worthless, the Carrier may, at his discretion and subject to his lien and without any responsibility attaching to him, sell, abandon or otherwise dispose of such Goods solely at the risk and expense of the Merchant.

15. Transhipment

The Carrier reserves the right of forwarding the Goods to their discharging port by any other ship or conveyance belonging either to the Carrier or any other carrier or individual.

16. Lien

The Carrier shall have a lien on the Goods for any amount due under this Bill of Lading and for general average contributions to whomever due and for the cost of recovering the same, and may enforce such lien in any reasonable manner.

17. General Average

General Average shall be adjusted and settled in Tokyo according to York-Antwerp Rules, 1974 and any amendment thereto.

18. New Jason Clause and Both to Blame Collision Clause

The New Jason Clause and Both to Blame Collision Clause, as adopted by the Documentary Committee of The Japan Shipping Exchange, Inc., which are available from

the Carrier upon request, to be considered incorporated herein.

19. Local Clause

In case this Bill of Lading covers the Goods moving to or from the U.S.A., and if it shall be adjudged that the Japanese law does not govern this Bill of Lading, then the provisions of the U.S. Carriage of Goods by Sea Act, 1936 shall govern before the Goods are loaded on and after they are discharged from the Vessel and throughout the entire time during which the Goods are in the actual custody of the Carrier.

MARITIME CHARTER

1. Shipbroker [SEAL of Japanese Company]	THE BALTIC AND INTER- NATIONAL MARITIME CON- FERENCE UNIFORM TIME- CHARTER (Box Layout 1974) CODE NAME: "BALTIME 1939" PART I
3. Owners/Place of business M.H.MARITIMA, S.A.	2. Place and date Tokyo, 1st November, 1988 4. Charterers/Place of business Honma Senpaku Co., Ltd., Tokyo
5. Vessel's name M.V. SKY REEFER	6. GRT/NRT 5,132.66/3,015.77
7. Class NK, NS*, MNS*, RMC*	8. Indicated horse power 8,000 P.S.
9. Total tons d.w. (abt.) on Board of Trade summer freeboard 6,043.53 11. Permanent bunkers (abt.) —	10. Cubic feet grain/bale capacity 248,945 cbft bale
12. Speed capability in knots (abt.) on a consumption in tons (abt.) of about 18.1 knots for bananas, 17.4 knots for full laden (See Clause 26)	
13. Present position Trading	

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14. Period of hire (Cl. 1) See Clause 27	15. Port of delivery (Cl. 1) Tokyo
	16. Time of delivery (Cl. 1) 10th/18th November, 1988
17. (a) Trade limits (Cl. 2) World-wide trade within I.W.L. excluding Israel.	
(b) Cargo exclusions specially agreed Live condition of motorcar and lawful dangerous cargo.	
18. Bunkers on re-delivery (state min. and max quantity) (Cl. 5) To be agreed later	
19. Charter hire (Cl. 6) To be agreed later.	20. Hire payment (state currency, method and place of payment: also beneficiary and bank account) (Cl. 6) To be agreed later.
21. Place or range of re-delivery (Cl. 7) When/where ready at one safe port in world-wide area.	22. War (only to be filled in if Section (C) agreed) (Cl. 21)
23. Cancelling date (Cl. 22) 18th November, 1988	24. Place of arbitration (only to be filled in if place other than Lon- don agreed) (Cl. 23) Tokyo, Japan
25. Brokerage commission and to whom payable (Cl. 25)	

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26. Numbers of additional clauses covering spe- cial provisions, if agreed Clauses 26 to 63

It is mutually agreed that this Contract shall be performed subject to the conditions contained in this Charter which shall include Part I as well as Part II, in the event of a conflict of conditions, the provisions of Part I shall prevail over those of Part II to the extent of such conflict.

One original Charter Party being made, mutually signed and possessed by Owners.

Signature (Owners)
[ILLEGIBLE]

Signature (Charterers)
[SEAL IN JAPANESE]

PART II

IT IS AGREED between the party mentioned in Box 3 as Owners of the Vessel named in Box 5 of the gross/net Register tonnage indicated in Box 6, classed as stated in Box 7 and of indicated horse power as stated in Box 8, carrying about the number of tons deadweight indicated in Box 9 on Board of Trade summer freeboard inclusive of bunkers, stores, provisions and boiler water, having as per builder's plan a cubic-feet grain/bale capacity as stated in Box 10, exclusive of permanent bunkers, which contain about the number of tons stated in Box 11, and fully loaded capable of steaming about the number of knots indicated in Box 12 in good weather and smooth water on a consumption of about the number of tons best Welsh coal or oil-fuel stated in Box 12, now in position as stated in Box 13 and the party mentioned as Charterers in Box 4, as follows:

1. Period, Port of Delivery, Time of Delivery. The Owners let, and the Charterers hire the Vessel for a period of the number of calendar months indicated in Box 14 from the time (not a Sunday or a legal Holiday unless taken over) the Vessel is delivered and placed at the disposal of the Charterers ~~between 9 a.m. and 6 p.m., or between 9 a.m. and 2 p.m. if on Saturday,~~ at the port stated in Box 15 in such available berth where she can safely lie always afloat, as the Charterers may direct, she being in every way fitted for ordinary cargo service.

The Vessel to be delivered at the time indicated in Box 16.

2. Trade. The Vessel to be employed in lawful trades for the carriage of lawful merchandise only between good and safe ports or places where she can safely lie always afloat within the limits stated in Box 17.

No live stock nor injurious, inflammable or dangerous goods (such as acids, explosives, calcium carbide, ferro silicon, naphtha, motor spirit, tar, or any of their products) to be shipped.

3. Owners to Provide. The Owners to provide and pay for all [lubricating oil, fresh water] provisions and wages, for insurance of the Vessel, for all deck and engine-room stores and maintain her in a thoroughly efficient state in hull and machinery during service.

The Owners to provide one winchman per hatch. If further winchmen are required, or if the stevedores refuse or are not permitted to work with the Crew, the Charterers to provide and pay qualified shore-winchmen.

4. Charterers to Provide. The Charterers to provide and pay for all ~~coals, including galley coal,~~ oil-fuel, ~~water for boilers,~~ port charges, pilotages (whether compulsory or not), canal steersmen, boatage, lights, tug-assistance, consular charges (except those pertaining to the Master, Officers and

* Text enclosed between bold brackets [] designates marginal typewritten notations.

Crew), canal, dock and other dues and charges, including any foreign general municipality or state taxes, also all dock, harbour and tonnage dues at the ports of delivery and re-delivery (unless incurred through cargo carried before delivery or after re-delivery), agencies, commissions, also to arrange and pay for loading, trimming, stowing (including dunnage and shifting boards, excepting any already on board), unloading, weighing, tallying and delivery of cargoes, surveys on hatches, meals supplied to officials and men in their service and all other charges and expenses whatsoever including detention and expenses through quarantine (including cost of fumigation and disinfection).

All ropes, slings and special runners actually used for loading and discharging and any special gear, including special ropes, hawsers and chains required by the custom of the port for mooring to be for the Charterers' account. The Vessel to be fitted with winches, derricks, wheels and ordinary runners capable of handling lifts up to [5] 2 tons.

* * *

13. Responsibility and Exemption. The Owners only to be responsible for delay in delivery of the Vessel or for delay during the currency of the Charter and for loss or damage to goods onboard, if such delay or loss has been caused by want of due diligence on the part of the Owners or their Manager in making the Vessel seaworthy and fitted for the voyage or any other personal act or omission or default of the Owners or their Manager. ~~The Owners not to be responsible in any other case nor for damage or delay whatsoever and howsoever caused even if caused by the neglect or default of their servant.~~ The Owners not to be liable for loss or damage arising or resulting from strikes, lock-outs or stoppage or restraint of labour (including the Master, Officers or Crew) whether partial or general.

* Text enclosed between bold brackets [] designates marginal typewritten notations.

The Charterers to be responsible for loss or damage caused to the Vessel or to the Owners by goods being loaded contrary to the terms of the Charter or by improper or careless bunkering or loading, stowing or discharging of goods or any other improper or negligent act on their part or that of their servants [unless caused by Master, Officers and Crew's default].

* * *

23. Arbitration. Any dispute arising under the Charter to be referred to arbitration in ~~London~~ **[TOKYO]** (or such other place as may be agreed according to Box 24) one Arbitrator to be nominated by the Owners and the other by the Charterers, and in case the Arbitrators shall not agree then to the decision of an Umpire to be appointed by them, the award of the Arbitrators or the Umpire to be final and binding upon both parties.

* Text enclosed between bold brackets [] designates marginal typewritten notations.

MARITIME CHARTER

1. Shipbroker [SEAL of Japanese Company]	THE BALTIC AND INTERNATIONAL MARITIME CONFERENCE UNIFORM TIME-CHARTER (Box Layout 1974) CODE NAME "BALTIME 1939" PART I
3. Owners/Place of business Honma Senpaku Co.,Ltd., Tokyo	2. Place and date Tokyo, 1st November, 1988 4. Charterers/Place of business Nichiro Gyogyo Kaisha, Ltd., Tokyo
5. Vessel's name M.V. SKY REEFER	6. GRT/NRT 5,132.66 / 3,015.77
7. Class NK, NS*, MNS*, RMC*	8. Indicated horse power 8,000 p.s.
9. Total tons d.w. (abt.) on Board of Trade summer freeboard 6,043.53 t	10. Cubic feet grain/bale capacity 248,945 cbft bale
11. Permanent bunkers (abt.) —	
12. Speed capability in knots (abt.) on a consumption in tons (abt.) of about 18.1 knots for bananas, 17.4 knots for full laden (See Clause 26)	
13. Present position Trading.	

14. Period of hire (Cl. 1) See Clause 27	15. Port of delivery (Cl. 1) Tokyo
	16. Time of delivery (Cl. 1) 10th/18th November, 1988
17. (a) Trade limits (Cl. 2) World-wide trade within I.W.L. excluding Israel.	
(b) Cargo exclusions specially agreed Live condition of motorcar and lawful dangerous cargo.	
18. Bunkers on re-delivery (state min. and max. quantity) (Cl. 5) To be agreed later.	
19. Charter hire (Cl. 6) To be agreed later.	20. Hire payment (state currency, method and place of payment: also beneficiary and bank account) (Cl. 6) To be agreed later.
21. Place or range of re-delivery (Cl. 7) When/where ready at one safe port in world-wide area.	22. War (only to be filled in if Section (C) agreed) (Cl. 21) —
23. Cancelling date (Cl. 22) 18th November, 1988	24. Place of arbitration (only to be filled in if place other than Lon- don agreed) (Cl. 23) Tokyo, Japan
25. Brokerage commission and to whom payable (Cl. 25)	

26. Numbers of additional clauses covering spe- cial provisions, if agreed Clauses 26 to 63

It is mutually agreed that this Contract shall be performed subject to the conditions contained in this Charter which shall include Part I as well as Part II. In the event of a conflict of conditions, the provisions of Part I shall prevail over those of Part II to the extent of such conflict.

One original Charter Party being made, mutually signed and possessed by Owners.

Signature (Owners) [SEAL IN JAPANESE]
--

Signature (Charterers) [SEAL IN JAPANESE]
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PART II

IT IS AGREED between the party mentioned in Box 3 as Owners of the Vessel named in Box 5 of the gross/net Register tonnage indicated in Box 6, classed as stated in Box 7 and of indicated horse power as stated in Box 8, carrying about the number of tons deadweight indicated in Box 9 on Board of Trade summer freeboard inclusive of bunkers, stores, provisions and boiler water, having as per builder's plan a cubic-feet grain/bale capacity as stated in Box 10, exclusive of permanent bunkers, which contain about the number of tons stated in Box 11, and fully loaded capable of steaming about the number of knots indicated in Box 12 in good weather and smooth water on a consumption of about the number of tons best Welsh coal or oil-fuel stated in Box 12, now in position as stated in Box 13 and the party mentioned as Charterers in Box 4, as follows:

1. Period, Port of Delivery, Time of Delivery. The Owners let, and the Charterers hire the Vessel for a period of the number of calendar months indicated in Box 14 from the time (not a Sunday or a legal Holiday unless taken over) the Vessel is delivered and placed at the disposal of the Charterers ~~between 9 a.m. and 6 p.m. or between 9 a.m. and 2 p.m. if on Saturday,~~ at the port stated in Box 15 in such available berth where she can safely lie always afloat, as the Charterers may direct, she being in every way fitted for ordinary cargo service.

The Vessel to be delivered at the time indicated in Box 16.

2. Trade. The Vessel to be employed in lawful trades for the carriage of lawful merchandise only between good and safe ports or places where she can safely lie always afloat within the limits stated in Box 17.

No live stock nor injurious, inflammable or dangerous goods (such as acids, explosives, calcium carbide, ferro silicon, naphtha, motor spirit, tar, or any of their products) to be shipped.

3. Owners to Provide. The Owners to provide and pay for all [lubricating oil, fresh water] provisions and wages, for insurance of the Vessel, for all deck and engine-room stores and maintain her in a thoroughly efficient state in hull and machinery during service.

The Owners to provide one winchman per hatch. If further winchmen are required, or if the stevedores refuse or are not permitted to work with the Crew, the Charterers to provide and pay qualified shore-winchmen.

4. Charterers to Provide. The Charterers to provide and pay for all ~~coals, including galley coal,~~ oil-fuel, ~~water for boilers,~~ port charges, pilotages (whether compulsory or not), canal steersmen, boatage, lights, tug-assistance, consular charges (except those pertaining to the Master, Officers and

* Text enclosed between bold brackets [] designates marginal typewritten notations.

Crew), canal, dock and other dues and charges, including any foreign general municipality or state taxes, also all dock, harbour and tonnage dues at the ports of delivery and re-delivery (unless incurred through cargo carried before delivery or after re-delivery), agencies, commissions, also to arrange and pay for loading, trimming, stowing (including dunnage and shifting boards, excepting any already on board), unloading, weighing, tallying and delivery of cargoes, surveys on hatches, meals supplied to officials and men in their service and all other charges and expenses whatsoever including detention and expenses through quarantine (including cost of fumigation and disinfection).

All ropes, slings and special runners actually used for loading and discharging and any special gear, including special ropes, hawsers and chains required by the custom of the port for mooring to be for the Charterers' account. The Vessel to be fitted with winches, derricks, wheels and ordinary runners capable of handling lifts up to [5] 2 tons.

* * *

13. Responsibility and Exemption. The Owners only to be responsible for delay in delivery of the Vessel or for delay during the currency of the Charter and for loss or damage to goods on board, if such delay or loss has been caused by want of due diligence on the part of the Owners or their Manager in making the Vessel seaworthy and fitted for the voyage or any other personal act or omission or default of the Owners or their Manager. ~~The Owners not to be responsible in any other case nor for damage or delay whatsoever and howsoever caused even if caused by the neglect or default of their servants.~~ The Owners not to be liable for loss or damage arising or resulting from strikes, lock-outs or stoppage or restraint of labour (including the Master, Officers or Crew) whether partial or general.

* Text enclosed between bold brackets [] designates marginal typewritten notations.

The Charterers to be responsible for loss or damage caused to the Vessel or to the Owners by goods being loaded contrary to the terms of the Charter or by improper or careless bunkering or loading, stowing or discharging of goods or any other improper or negligent act on their part or that of their servants [unless caused by Master, Officers and Crew's default].

* * *

23. Arbitration. Any dispute arising under the Charter to be referred to arbitration in ~~London~~ **[TOKYO]** (or such other place as may be agreed according to Box 24) one Arbitrator to be nominated by the Owners and the other by the Charterers, and in case the Arbitrators shall not agree then to the decision of an Umpire to be appointed by them, the award of the Arbitrators or the Umpire to be final and binding upon both parties.

* Text enclosed between bold brackets [] designates marginal typewritten notations.

MARITIME CHARTER

1. Shipbroker [SEAL of Japanese Company] [ILLEGIBLE address]	RECOMMENDED THE BALTIC AND INTERNATIONAL MARITIME CONFERENCE UNIFORM GENERAL CHARTER (AS REVISED 1922 and 1976) INCLUDING "F.I.O." ALTERNATIVE, ETC. (To be used for trades for which no approved form is in force) CODE NAME: "GENCON" PART I
3. Owners/Place of business (Cl. 1) NICHIRO CORPORATION TOKYO, JAPAN.	2. Place and date Krimpen a/d IJssel, 1st February 1991 4. Charterers/Place of business (Cl. 1) BACCHUS ASSOCIATES Huntspoint, New York.
5. Vessel's name (Cl. 1) "SKY REEFER"	5. GRT/NRT (Cl. 1) 5132.66/3015.77
7. Deadweight cargo carrying capacity in tons (abt.) (Cl. 1) all told 6043.55	8. Present position (Cl.1) Trading
9. Expected ready to load (abt.) (Cl. 1) 5th of February, 1991	

10. Loading port or place (Cl. 1) Agadir 1 good, safe berth	11. Discharging port or place (Cl. 1) New Bedford 1 good, safe berth
12. Cargo (also state quantity and margin in Owners' option, if agreed; if full and complete cargo not agreed state "part cargo") (Cl. 1) minimum 2,000 pallets of citrus in cartons up to vessel's full capacity in Charterers' option	
13. Freight rate (also state if payable on delivered or intaken quantity) (Cl. 1) US\$ 145.-- (United States Dollars one hundred and forty five) per pallet on intaken quantity	14. Freight payment (state currency and method of payment; also beneficiary and bank account) (Cl. 4) prepaid on signing Bills of Lading, discountless, non returnable, ship and/or cargo lost or not lost, into Owners' account.
15. Loading and discharging costs (state alternative (a) or (b) of Cl. 5; also indicate if vessel is gearless) Free in/Liner out till point of rest	16. Laytime (if separate laytime for load, and disch. is agreed, fill in a) and b), if total laytime for load, and disch., fill in c) only) (Cl. 8) a) Laytime for loading 2.5 w.w. days shex uu wibon wifpon

17. Shippers (state name and address (Cl. 6))	b) Laytime for discharging
	c) Total laytime for loading and discharging
18. Demurrage rate (loading and discharging) (Cl. 7) US \$8.500, -- /Free despatch	19. Cancelling data (Cl. 10) 7th of February 1991
20. Brokerage commission and to whom payable (Cl. 14) 5% of R.M.C.A. Rotterdam Marine Chartering Agents B.V., Krimpen a/d IJssel, for division as agreed	
21. Additional clauses covering special provisions. If agreed. A—Clean, dry and free of smell holds clause B—Arbitration London Both to Blame Collision clause—New Jason clause Owners' bank: The Bank of Tokyo Ltd., Marunouchi Branch Office, 4-2 Marunouchi 1—Chome, Chiyoda-Ku Tokyo, Japan. In favour of Nichiro Corporation, Tokyo. Account no. 0074047	

It is mutually agreed that this Contract shall be performed subject to the conditions contained in this Charter which shall include Part I as well as Part II. In the event of a conflict of conditions, the provisions of Part I shall prevail over those of Part II to the extent of such conflict.

Signature (Owners)

Signature (Charterers)

PART II

"Gencon" Charter (As Revised 1922 and 1976)

Including "F.I.O." Alternative, etc.

1. It is agreed between the party mentioned in Box 3 as Owners of the steamer or motor-vessel named in Box 5, of the gross/nett Register tons indicated in Box 6 and carrying about the number of tons of deadweight cargo stated in Box 7, now in position as stated in Box 8 and expected ready to load under this Charter about the date indicated in Box 9, and the party mentioned as Charterers in Box 4 that:

The said vessel shall proceed to the loading port or place stated in Box 10 or so near thereto as she may safely get and lie always afloat, and there load a full and complete cargo (if shipment of deck cargo agreed same to be at Charterers' risk) as stated in Box 12 (Charterers to provide all mats and/or wood for dunnage and any separations required, the Owners allowing the use of any dunnage wood on board if required) which the Charterers bind themselves to ship, and being so loaded the vessel shall proceed to the discharging port or place stated in Box 11 as ordered on signing Bills of Lading or so near thereto as she may safely get and lie always afloat and there deliver the cargo on being paid freight on delivered or in taken quantity as indicated in Box 13 at the rate stated in Box 13.

2. Owners' Responsibility Clause

Owners are to be responsible for loss of or damage to the goods or for delay in delivery of the goods only in case the loss, damage or delay has been caused by the improper or negligent stowage of the goods (unless stowage performed by shippers/Charterers or their stevedores or servants) or by personal want of due diligence on the part of the Owners or their Manager to make the vessel in all respects seaworthy and to secure that she is

properly manned, equipped and supplied or by the personal act or default of the Owners of their Manager.

And the Owners are responsible for no loss or damage or delay arising from any other cause whatsoever, even from the neglect or default of the Captain or crew or some other person employed by the Owners on board or ashore for whose acts they would, but for this clause, be responsible, or from unseaworthiness of the vessel on loading or commencement of the voyage or at any time whatsoever. Damage caused by contact with or leakage, smell or evaporation from other goods or by the inflammable or explosive nature or insufficient package of other goods not to be considered as caused by improper or negligent stowage, even if in fact so caused.

3. Deviation Clause

The vessel has liberty to call at any port or ports in any order, for any purpose, to sail without pilots, to tow and or assist vessels in all situations, and also to deviate for the purpose of saving life and/or property.

4. Payment of Freight

The freight to be paid in the manner prescribed in Box 14 in cash without discount ~~on delivery of the cargo at mean rate of exchange ruling on day or days of payment, the receivers of the cargo being bound to pay freight on account during delivery if rendered by captain or officers.~~ Cash for vessel's ordinary disbursements at port of loading to be advanced by Charterers if required at highest current rate of exchange, subject to two per cent, to cover insurance and other expenses.

5. Loading Discharging Costs

* (a) Gross Terms

~~The cargo to be brought alongside in such a manner and to enable vessel to take the goods with her own tackle. Charterers to procure and pay the necessary men on shore or on board the lighters to do the work there, vessel only~~

~~heaving the cargo on board.~~ If the loading takes place by elevator, cargo to be put free in vessel's holds. Owners only paying trimming expenses. Any places and/or packages of cargo over two tons freight, shall be loaded, stowed and discharged by Charterers at their risk and expense. The cargo to be received by Merchants at their risk and expense, alongside the vessel not beyond the reach of her tackle.

* (b) *F.i.o. and free stowed trimmed*

The cargo shall be brought into the holds, loaded, stowed and/or trimmed ~~and taken from the holds and discharged~~ by the Charterers or their Agents, free of any risk, liability and expense whatsoever to the Owners.

The Owners shall provide winches, motive power and winchman from the Crew if requested and permitted; if not, the Charterers shall provide and pay for winchmen from shore and/or cranes, if any. (This provision shall not apply if vessel is gearless and stated as such in Box 15).

* indicate alternative (a) or (b), as agreed, in Box 15.

6. Laytime

* (a) *Separate laytime for loading and discharging*

The cargo shall be loaded within the number of running hours as indicated in Box 16, weather permitting, Sundays and holidays excepted, unless used, in which event time actually used shall count. ~~The cargo shall be discharged within the number of evening hours, as indicated in Box 16, weather permitting. Sundays and holidays excepted, unless used, in which event time actually used shall count.~~

* (b) *Total laytime for loading and discharging*

~~The cargo shall be loaded and discharged within the number [illegible] [illegible] running hours as indicated in Box 16, weather permitting. Sundays and holidays excepted, unless used, in which event time actually used shall count.~~

(c) *Commencement of laytime (loading and discharging)*

Laytime for loading and discharging shall commence at 2 p.m. if notice of readiness is given before noon and at 8 a.m. next working day if notice given during office hours after noon. Notice at loading port to be given to the Shippers named in Box 17.

Time actually used before commencement of laytime shall count.

Time lost in waiting for berth to count as loading or discharging time, as the case may be.

* Indicate alternative (a) or (b) as agreed, in Box 16.

7. Demurrage

The [ILLEGIBLE] as demurrage at the rate stated in Box 10 per day or pro rata for any part of a day, payable day by day, to be allowed Merchants altogether at ports of loading and discharging.

8. Lien Clause

Owners shall have a lien on the cargo for freight, dead-freight, demurrage ~~and damages for detention~~. Charterers shall remain responsible for dead-freight and demurrage ~~(including damages for detention)~~, incurred at port of loading. ~~Charterers shall also [illegible] responsible for freight and demurrage (including damages for detention) incurred at port of discharge but only to such extent as the owners have been unable to obtain payment thereof by exercising the lien on the cargo.~~

9. Bills of Lading

The Captain to sign Bills of Lading at such rate of freight as presented without prejudice to this Charterparty, but should the freight by Bills of Lading amount to less than the total chartered freight the difference to be paid to the Captain in cash on signing Bills of Lading.

10. Cancelling Clause

Should the vessel not be ready to load (whether in berth or not) on or before the date indicated in Box 19, Charterers have the option of cancelling this contract, such option to be declared, if demanded, at least 48 hours before vessel's expected arrival at port of loading. Should the vessel be delayed on account of average or otherwise, Charterers to be informed as soon as possible, and if the vessel is delayed for more than 10 days after the day she is stated to be expected ready to load. Charterers have the option of cancelling this contract, unless a cancelling date has been agreed upon.

11. General Average

General average to be settled [in London] according to York-Antwerp Rules, 1974. Proprietors of cargo to pay the cargo's share in the general expenses even if same have been necessitated through neglect or default of the Owners' servants (see clause 2).

12. Indemnity

Indemnity for non-performance of this Charterparty, proved damages, not exceeding estimated amount of freight.

13. Agency

In every case the Owners shall appoint his own Broker or Agent both at the port of loading and the port of discharge.

14. Brokerage

A brokerage commission at the rate stated in Box 20 on the freight, [deadfreight and demurrage,] earned is due to the party mentioned in Box 20.

* Text enclosed between bold brackets [] designates marginal typewritten notations.

In case of non-execution at least $\frac{1}{2}$ of the brokerage on the estimated amount of freight and dead-freight to be paid by the Owners to the Brokers as indemnity for the latter's expenses and work in case of more voyages the amount of indemnity to be mutually agreed.

15. GENERAL STRIKE CLAUSE

Neither Charterers nor Owners shall be responsible for the consequences of any strikes or lock-outs preventing or delaying the fulfillment of any obligations under this contract.

If there is a strike or lock-out affecting the loading of the cargo, or any part of it, when vessel is ready to proceed from her last port or at any time during the voyage to the port or ports of loading or after her arrival there, Captain or Owners may ask Charterers to declare, that they agree to reckon the laydays as if there were no strike or lock-out. Unless Charterers have given such declaration in writing (by telegram, if necessary) within 24 hours Owners shall have the option of cancelling this contract, if part cargo has already been loaded. Owners must proceed with same, (freight payable on loaded quantity only) having liberty to complete with other cargo on the way for their own account.

If there is a strike or lock-out affecting the discharge of the cargo on or after vessel's arrival at or off port of discharge and same has not been settled within 48 hours. Receivers shall have the option of keeping vessel waiting until such strike or lock-out is at an end against paying half demurrage after expiration of the time provided for discharging, or of ordering the vessel to a safe port where she can safely discharge without risk of being detained by strike or lock-out. Such orders to be given within 48 hours after Captain or Owners have given notice to Charterers of the strike or lock-out affecting the discharge. On delivery of the cargo at such port, all conditions of this Charterparty and of the Bill of Lading shall apply and

vessel shall receive the same freight as if she had discharged at the original port of destination, except that if the distance of the substituted port exceeds 100 nautical miles, the freight on the cargo delivered at the substituted port to be increased in proportion.

16. War Risks ("Voywar 1950")

(1) In these clauses "War Risks" shall include any blockade or any action which is announced as a blockade by any Government or by any belligerent or by any organized body, sabotage, piracy, and any actual or threatened war, hostilities, warlike operations, civil war, civil commotion, or revolution.

(2) If at any time before the Vessel commences loading, it appears that performance of the contract will subject the Vessel or her Master and crew or her cargo to war risks at any stage of the adventure, the Owners shall be entitled by letter or telegram dispatched to the Charterers, to cancel this Charter.

(3) The Master shall not be required to load cargo or to continue loading or to proceed on or to sign Bill(s) of Lading for any adventure on which or any port at which it appears that the Vessel, her Master and crew or her cargo will be subjected to war risks. In the event or the exercise by the Master of his right under this Clause after part or full cargo has been loaded, the Master shall be at liberty either to discharge such cargo at the loading port or to proceed therewith. In the latter case the Vessel shall have liberty to carry other cargo for Owners' benefit and accordingly to proceed to and load or discharge such other cargo at any other port or ports whatsoever, backwards or forwards, although in a contrary direction to or out of or beyond the ordinary route. In the event of the Master electing to proceed with part cargo under this Clause freight shall in any case be payable on the quantity delivered.

(4) If at the time the Master elects to proceed with part or full cargo under clause 3, or after the Vessel has left the loading port, or the last of the loading ports, if more than one. It appears that further performance of the contract will subject the Vessel, her Master and crew or her cargo, to war risks, the cargo shall be discharged, or if the discharge has been commenced shall be completed, at any safe port in vicinity of the port of discharge as may be ordered by the Charterers. If no such orders shall be received from the Charterers within 48 hours after the Owners have dispatched a request by telegram to the Charterers for the nomination of a substitute discharging port, the Owners shall be at liberty to discharge the cargo at any safe port which they may, in their discretion, decide on and such discharge shall be deemed to be due fulfillment of the contract of affreightment. In the event of cargo being discharged at any such other port, the Owners shall be entitled to freight as if the discharge has been effected at the port or ports named in the Bill(s) of Lading, from which the Vessel may have been ordered pursuant thereto.

(5) (a) The Vessel shall have liberty to comply with any directions or recommendations as to loading, departure, arrival, routes, ports of call, stoppages, destination, zones, waters, discharge, delivery or in any other wise whatsoever (including any direction or recommendation not to go to the port of destination or to delay proceeding thereto or to proceed to some other port) given by any Government or by any belligerent or by any organized body engaged in civil war, hostilities or warlike operations or by any person or body acting or purporting to act as or with the authority of any Government or belligerent or of any such organized body or by any committee or person having under the terms of the war risks insurance on the Vessel, the right to give any such directions or recommendations. If, by reason of or in compliance with any

such direction or recommendation, anything is done or is not done, such shall not be deemed a deviation.

(b) If, by reason of or in compliance with any such directions or recommendations, the Vessel does not proceed to the port or ports named in the Bill(s) of Lading or to which she may have been ordered pursuant thereto, the Vessel may proceed to any port as directed or recommended or to any safe port which the Owners in their discretion may decide on and there discharge the cargo. Such discharge shall be deemed to be due fulfillment of the contract of affreightment and the Owners shall be entitled to freight as if discharge had been effected at the port or ports named in the Bill(s) of Lading or to which the Vessel may have been ordered pursuant thereto.

(6) All extra expenses (including insurance costs) involved in discharging cargo at the loading port or in reaching or discharging the cargo at any port as provided in Clauses 4 and 5 (b) hereof shall be paid by the Charterers and/or cargo owners, and the Owners shall have a lien on the cargo for all moneys due under these Clauses.

17. GENERAL ICE CLAUSE

Port of loading

(a) In the event of the loading port being inaccessible by reason of ice when vessel is ready to proceed her last port or at any time during the voyage or on vessel's arrival or in case frost sets in after vessel's arrival, the Captain for fear of being frozen in is at liberty to leave without cargo, and this Charter shall be null and void.

(b) If during loading the Captain, for fear of vessel being frozen in, deems it advisable to leave, he has liberty to do so with what cargo he has on board and to proceed to any other port or ports with option of completing cargo for Owners' benefit for any port or ports including port of discharge. Any part cargo thus loaded under this Charter

to be forwarded to destination at vessel's expense but against payment of freight, provided that no extra expenses be thereby caused to the Receivers, freight being paid on quantity delivered (in proportion of lump-sum), all other conditions as per Charter.

(c) In case of more than one loading port, and if one or more of the ports are closed by ice, the Captain or Owners to be at liberty either to load the part cargo at the open port and fill up elsewhere for their own account as under section (b) or to declare the Charter null and void unless Charterers agree to load full cargo at the open port.

(d) This Ice Clause not to apply in the Spring.

Port of Discharge

(a) Should ice (except in the Spring) prevent vessel from reaching port of discharge, Receivers shall have the option of keeping vessel waiting until the re-opening of navigation and paying demurrage, or of ordering the vessel to a safe and immediately accessible port where she can safely discharge without risk of detention by ice. Such orders to be given within 48 hours after Captain or Owners have given notice to Charterers of the impossibility of reaching port of destination.

(b) If during discharging the Captain for fear of vessel being frozen in deems it advisable to leave, he has liberty to do so with what cargo he has on board and to proceed to the nearest accessible port where she can safely discharge.

(c) On delivery of the cargo at such port, all conditions of the Bill of Lading shall apply and vessel shall receive the same freight as if she had discharged at the original port of destination, except that if the distance of the substituted port exceeds 100 nautical miles, the freight on the cargo delivered at the substituted port to be increased in proportion.

J.A. 82

ARBITRATION DEMAND

MAY 9, 1993

TO: VIMAR SEGUROS Y REASEGUROS, S.A.
BACCHUS ASSOCIATES

FROM: M.H. MARITIMA, S.A.

RE: VIMAR SEGUROS Y REASEGUROS, S.A. AND
BACCHUS ASSOCIATES V. M/V SKY REEFER,
HERENGINES, ETC., IN REM AND M.H. MAR-
ITIMA, S.A., IN PERSONAM
C.A. NO. 91-1345-WF (D. MASS.)

WE, THE OWNERS OF M/V "SKY REEFER", HEREBY
DEMAND THAT THE CARGO DAMAGE DISPUTE BE
RESOLVED THROUGH TOKYO ARBITRATION AND
THAT YOU TAKE STEPS TO COMMENCE ARBITRATION
PROCEEDINGS IN TOKYO IN ACCORDANCE WITH THE
TERMS OF THE RELEVANT BILL OF LADING.

REGARDS

J.A. 83

**UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF MASSACHUSETTS**

C.A. No. 91-13345WF

Filed September 29, 1993

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES

Plaintiffs,

—v.—

M/V SKY REEFER, her engines, etc., *in rem*, and M.H.
MARITIMA, S.A., *in personam*

Defendants.

**MOTION AND ORDER TO EXTEND TIME
FOR INTERLOCUTORY APPEAL**

Plaintiffs Vimar Seguros y Reasegueros, S.A. and Bacchus Associates, in accordance with 28 U.S.C. § 1292 (b); on showing that the Clerk, due to clerical error or oversight, did not, until September 16, 1993, mail to counsel for the parties the Certification Order previously issued and entered on July 22, 1993, move for an Order granting an additional ten (10) days, from the date of entry of the instant Order, to petition the United States Court of Appeals for the First Circuit for leave to appeal from the Memorandum and Order issued on April 19, 1993.

WHEREFORE, it is ORDERED that plaintiffs, in accordance with 28 U.S.C. § 1292 (b), shall have ten (10) days from the date of entry of this Order, to petition the United States Court of Appeals for the First Circuit for leave to appeal from the Memorandum and Order issued on April 19, 1993.

Dated: September 30, 1993

[illegible]

United States District Judge

United States Court of Appeals
FOR THE FIRST CIRCUIT

93-8054

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES,

Plaintiffs-Petitioners,

—v.—

M/V SKY REEFER, her engines, etc.
and M.H. MARITIMA, S.A.,

Defendants-Respondents.

PETITION FOR APPEAL PURSUANT TO 28 U.S.C. § 1292(b)
FROM AN INTERLOCUTORY ORDER OF THE UNITED STATES
DISTRICT COURT FOR THE DISTRICT OF MASSACHUSETTS

PETITION AND BRIEF OF PETITIONERS
VIMAR AND BACCHUS

VARET & FINK P.C.
Counsel for Plaintiffs-Petitioners
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New York, New York 10005-2815
(212) 858-5300

Of Counsel:

STANLEY McDERMOTT III

II.

The Question Appealed

Is an arbitration clause in a bill of lading that is subject *ex proprio vigore* to the United States Carriage of Goods Act ("Cogsa"), 46 U.S.C. § 1300 *et seq.*, and is thereby governed by United States law, enforceable, where (a) the arbitration clause is tied to an invalid foreign-law clause; (b) the site of the arbitration is a foreign country that has no connection with the making or the performance of the bill-of-lading contract and is otherwise the home forum of the ocean carrier; and (c) the bill-of-lading consignee did not negotiate or otherwise agree to the foreign arbitration clause.

J.A. 86

UNITED STATES COURT OF APPEALS
FOR THE FIRST CIRCUIT

No. 93-8054

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES,

Plaintiffs, Petitioners,

—v.—

M/V SKY REEFER, HER ENGINES, ETC.,
and M.H. MARITIMA, S.A.,

Defendants, Respondents.

Before:

BREYER, *Chief Judge,*
TORRUELLA and SELYA, *Circuit Judges.*

ORDER OF COURT
Entered November 1, 1993

The petition for leave to appeal under 28 U.S.C. § 1292 (b)
is granted.

By the Court:

FRANCIS P. SCIGLIANO, Clerk

By: _____
Chief Deputy Clerk

J.A. 87

United States Court of Appeals
FOR THE FIRST CIRCUIT

No. 93-2179

VIMAR SEGUROS Y REASEGUROS, S.A.
and BACCHUS ASSOCIATES,

Plaintiffs-Appellants,

—v.—

M/V SKY REEFER, her engines, etc., *in rem*, and M.H.
MARITIMA, S.A., *in personam,*

Defendants-Appellees.

ON APPEAL FROM A JUDGMENT OF THE THE UNITED STATES
DISTRICT COURT FOR THE DISTRICT OF MASSACHUSETTS

BRIEF OF THE PLAINTIFFS-APPELLANTS
VIMAR AND BACCHUS

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Of Counsel:
Stanley McDermott III

Counsel for Plaintiffs-Appellants

II.

**Statement of the Issues
Presented for Review**

Is an arbitration clause in a bill of lading that is subject *ex proprio vigore* to the United States Carriage of Goods Act ("Cogsa"), 46 U.S.C. § 1300 *et seq.*, and is thereby governed by United States law, enforceable, where (a) the arbitration clause is tied to an invalid foreign-law clause; (b) the site of the arbitration is a foreign country that has no connection with the making or the performance of the bill-of-lading contract and is otherwise the home forum of the ocean carrier; and (c) the bill-of-lading consignee did not negotiate or otherwise agree to the foreign arbitration clause?

APPENDIX 2

**INTERNATIONAL CONVENTION FOR THE
UNIFICATION OF CERTAIN RULES OF
LAW RELATING TO BILLS OF LADING**

SIGNED AT BRUSSELS ON AUGUST 25, 1924

- 1568 THE French text of the Convention is the only authoritative version of it, though an English translation has been authorised by the bureau of the conference.¹ The text of both versions is set out below. The Convention was signed only on August 25, 1924, after the (British) Carriage of Goods by Sea Act 1924 had been passed (on August 1, 1924). That Act was based on earlier drafts of the Convention, and in particular on the draft agreed at Brussels in October 1922, as amended at Brussels in October 1923 (see the preamble to the Act²). That draft is here referred to as the draft (convention) of 1923. That draft omitted Art. 9 (the gold clause) of the Convention of 1924 and differed from it in other respects. The variations between these two documents are here noted unless they amount to no more than insignificant variations in language.³

Convention internationale pour l'Unification de certaines Règles en Matière de Connaissance, signée à Bruxelles, le 25 Août 1924.

[Here are stated the heads of the States concerned (see British text, infra).]

¹ Both versions appear in Treaty Series No. 17 (1931).

² *Supra*, § 244

³ The draft of 1923 is not easily available and I am indebted to the Secretary of the British Maritime Law Association and Maître Carlo Van den Bosch, an honorary secretary of the Comité Maritime International, and their Belgian staff, for obtaining information of its contents.

- 1569 Ayant reconnu l'utilité de fixer de commun accord certaines règles uniformes en matière de connaissance, ont décidé de conclure une Convention à cet effet et ont désigné, pour leurs Plénipotentiaires, savoir:

[Here follows a list of Plenipotentiaries.]

Lesquels, à ce dûment autorisés, sont convenus de ce qui suit:

* * *

Bills of Lading, on this 15th day of November, 1924, hereby make the following Declarations by direction of my Government:

I declare that His Britannic Majesty's Government adopt the last reservation in the additional Protocol of the Bills of Lading Convention.

I further declare that my signature applies only to Great Britain and Northern Ireland, I reserve the right of each of the British Dominions, Colonies, Overseas Possessions, and Protectorates, and of each of the territories over which His Britannic Majesty exercises a mandate, to accede to this Convention under Article 13.

GEORGE GRAHAME.

*His Britannic Majesty's Ambassador at Brussels.
Brussels, this 15th day of November, 1924.*

- 1586 *Note annexée à la Lettre de Son Excellence M. l'Ambassadeur du Japon à M. le Ministre des Affaires Etrangères de Belgique, du 25 Août 1925.*

Ambassade Impériale du Japon.

AU moment de procéder à la signature de la Convention internationale pour l'unification de certaines règles en matière de connaissance, le soussigné, Plénipotentiaire du Japon, fait les réserves suivantes:

(a) *A l'article 4:*

Le Japon se réserve, jusqu'à nouvel ordre, l'acceptation des dispositions du (a) à l'alinéa 2 de l'article 4.

(b) Le Japon est d'avis que la Convention, dans sa totalité, ne s'applique pas au cabotage national: par conséquent, il n'y aurait pas lieu d'en faire l'objet de dispositions au Protocole. Toutefois, s'il n'en est pas ainsi, le Japon se réserve le droit de régler librement le cabotage national par sa propre législation.

M. ADATCI.

Bruxelles, le 25 Août, 1925.

(Translation)

International Convention for the Unification of certain Rules of Law relating to Bills of Lading, signed at Brussels on August 15, 1924

- 1587 THE President of the German Republic, the President of the Argentine Republic, His Majesty the King of the Belgians, the President of the Republic of Chile, the President of the Republic of Cuba, His Majesty the King of Denmark and Iceland, His Majesty the King of Spain, the Head of the Estonian State, the President of the United States of America, the President of the Republic of Finland, the President of the French Republic, His Majesty the King of the United Kingdom of

Great Britain and Ireland and of the British Dominions beyond the Seas, Emperor of India, His Most Serene Highness the Governor of the Kingdom of Hungary, His Majesty the King of Italy, His Majesty the Emperor of Japan, the President of the Latvian Republic, the President of the Republic of Mexico, His Majesty the King of Norway, Her Majesty the Queen of the Netherlands, the President of the Republic of Peru, the President of the Polish Republic, the President of the Portuguese Republic, His Majesty the King of Roumania, His Majesty the King of the Serbs, Croats and Slovenes, His Majesty the King of Sweden, and the President of the Republic of Uruguay.

Having recognized the utility of fixing by agreement certain uniform rules of law relating to bills of lading, have decided to conclude a convention with this object and have appointed the following plenipotentiaries:

[Here follows the list of Plenipotentiaries.]

Who, duly authorized thereto, have agreed as follows:

ARTICLE 1

1588 In this convention the following words are employed, with the meanings set out below:

- (a) "Carrier" includes the owner or the charterer who enters into a contract of carriage with a shipper.
- (b) "Contract of Carriage" applies only to contracts of carriage covered by a bill of lading or any similar document of title, in so far as such document relates to the carriage of goods by sea, including any bill of lading or any similar document as aforesaid issued under or pursuant to a charter-party from the moment at which such a bill of

lading or similar document of title regulates the relations between a carrier and a holder of the same.

- (c) "Goods" includes goods, wares, merchandise, and articles of every kind whatsoever except live animals and cargo which by the contract of carriage is stated as being carried on deck and is so carried.
- (d) "Ships" means any vessel used for the carriage of goods by sea.
- (e) "Carriage of goods" covers the period from the time when the goods are loaded on to the time they are discharged from the ship.

ARTICLE 2

1589 Subject to the provisions of Article 6, under every contract of carriage of goods by sea the carrier, in relation to the loading, handling, stowage, carriage, custody, care and discharge of such goods, shall be subject to the responsibilities and liabilities, and entitled to the rights and immunities hereinafter set forth.

ARTICLE 3

- 1590 1. The carrier shall be bound before and at the beginning of the voyage to exercise due diligence to—
- (a) Make the ship seaworthy.
 - (b) Properly man, equip and supply the ship.
 - (c) Make the holds, refrigerating and cool chambers, and all other parts of the ship in which goods are carried, fit and safe for their reception, carriage and preservation.

2. Subject to the provisions of Article 4, the carrier shall properly and carefully load, handle, stow, carry, keep, care for, and discharge the goods carried.

3. After receiving the goods into his charge the carrier or the master or agent of the carrier shall, on demand of the shipper, issue to the shipper a bill of lading showing among other things—

- (a) The leading marks necessary for identification of the goods as the same are furnished in writing by the shipper before the loading of such goods starts, provided such marks are stamped or otherwise shown clearly upon the goods if uncovered, or on the cases or coverings in which such goods are contained, in such a manner as should ordinarily remain legible until the end of the voyage.
- (b) Either the number of packages or pieces, or the quantity, or weight, as the case may be, as furnished in writing by the shipper.
- (c) The apparent order and condition of the goods.

Provided that no carrier, master or agent of the carrier shall be bound to state or show in the bill of lading any marks, number, quantity, or weight which he has reasonable ground for suspecting not accurately to represent the goods actually received, or which he has had no reasonable means of checking.

1591 4. Such a bill of lading shall be prima facie evidence of the receipt by the carrier of the goods as therein described in accordance with paragraph 3 (a), (b) and (c).

5. The shipper shall be deemed to have guaranteed to the carrier the accuracy at the time of shipment of the marks, number, quantity and weight, as furnished by him, and the shipper shall indemnify the carrier against

all loss, damages and expenses arising or resulting from inaccuracies in such particulars. The right of the carrier to such indemnity shall in no way limit his responsibility and liability under the contract of carriage to any person other than the shipper.

6. Unless notice of loss or damage and the general nature of such loss or damage be given in writing to the carrier or his agent at the port of discharge before or at the time of the removal of the goods into the custody of the person entitled to delivery thereof under the contract of carriage, or if the loss or damage be not apparent, within three days, such removal shall be prima facie evidence of the delivery by the carrier of the goods as described in the bill of lading.

The notice in writing need not be given if the state of the goods has, at the time of their receipt, been the subject of joint survey or inspection.

In any event the carrier and the ship shall be discharged from all liability in respect of loss or damage unless suit is brought within one year after delivery of the goods or the date when the goods should have been delivered.

In the case of any actual or apprehended loss or damage the carrier and the receiver shall give all reasonable facilities to each other for inspecting and tallying the goods.

1592 7. After the goods are loaded the bill of lading to be issued by the carrier, master, or agent of the carrier, to the shipper shall, if the shipper so demands, be a "shipped" bill of lading, provided that if the shipper shall have previously taken up any document of title to such goods, he shall surrender the same as against the issue of the "shipped" bill of lading, but at the option of the carrier such document of title may be noted at the port of shipment by the carrier, master, or agent with the name or names of the ship or ships upon which the

goods have been shipped and the date or dates of shipment, and when so noted, *if it shows the particulars mentioned in paragraph 3 of Article 3,*¹⁰ shall for the purpose of this article be deemed to constitute a "shipped" bill of lading.

8. Any clause, covenant, or agreement in a contract of carriage relieving the carrier or the ship from liability for loss or damage to, or in connection with, goods arising from negligence, fault, or failure in the duties and obligations provided in this article or lessening such liability otherwise than as provided in this convention, shall be null and void and of no effect. A benefit of insurance *in favour of the carrier*¹⁰ or similar clause shall be deemed to be a clause relieving the carrier from liability.

ARTICLE 4

1593 1. Neither the carrier nor the ship shall be liable for loss or damage arising or resulting from unseaworthiness unless caused by want of due diligence on the part of the carrier to make the ship seaworthy, and to secure that the ship is properly manned, equipped and supplied, and to make the holds, refrigerating and cool chambers and all other parts of the ship in which goods are carried fit and safe for their reception, carriage and preservation in accordance with the provisions of paragraph 1 of Article 3. Whenever loss or damage has resulted from unseaworthiness the burden of proving the exercise of due diligence shall be on the carrier or other person claiming exemption under this article.

2. Neither the carrier nor the ship shall be responsible for loss or damage arising or resulting from—

- (a) Act, neglect, or default of the master, mariner, pilot, or the servants of the carrier in the navigation or in the management of the ship.
- (b) Fire, unless caused by the actual fault or privity of the carrier.
- (c) Perils, dangers and accidents of the sea or other navigable waters.
- (d) Act of God.
- (e) Act of war.
- (f) Act of public enemies.
- (g) Arrest or restraint of princes, rulers or people, or seizure under legal process.
- (h) Quarantine restrictions.
- (i) Act or omission of the shipper or owner of the goods, his agent or representative.
- (j) Strikes or lockouts or stoppage or restraint of labour from whatever cause, whether partial or general.
- (k) Riots and civil commotions.
- (l) Saving or attempting to save life or property at sea.
- (m) Wastage in bulk or weight or any other loss or damage arising from inherent defect, quality or vice of the goods.
- (n) Insufficiency of packing.
- (o) Insufficiency or inadequacy of marks.
- (p) Latent defects not discoverable by due diligence.
- (q) Any other cause arising without the actual fault or privity of the carrier, or without the fault or neglect of the agents or servants of the carrier,

¹⁰ No words corresponding to those in italics appear in the draft of 1923.

but the burden of proof shall be on the person claiming the benefit of this exception to show that neither the actual fault or privity of the carrier nor the fault or neglect of the agents or servants of the carrier contributed to the loss or damage.

1594 3. The shipper shall not be responsible for loss or damage sustained by the carrier or the ship arising or resulting from any cause without the act, fault or neglect of the shipper, his agents or his servants.

4. Any deviation in saving or attempting to save life or property at sea or any reasonable deviation shall not be deemed to be an infringement or breach of this convention or of the contract of carriage, and the carrier shall not be liable for any loss or damage resulting therefrom.

5. Neither the carrier nor the ship shall in any event be or become liable for any loss or damage to or in connection with goods in an amount exceeding £100 per package or unit, or the equivalent of that sum in other currency unless the nature and value of such goods have been declared by the shipper before shipment and inserted in the bill of lading.

This declaration if embodied in the bill of lading shall be prima facie evidence, but shall not be binding or conclusive on the carrier.

By agreement between the carrier, master or agent of the carrier and the shipper another maximum amount than that mentioned in this paragraph may be fixed, provided that such maximum shall not be less than the figure above named.¹¹

¹¹ There follows in the draft of 1923 a provision by which (as translated into English): "The rate of exchange shall be taken as at the day of arrival of the ship at the port of discharge of the goods in question."

Neither the carrier nor the ship shall be responsible in any event for loss or damage to, or in connection with, goods if the nature or value thereof has been knowingly misstated by the shipper in the bill of lading.

6. Goods of an inflammable, explosive or dangerous nature to the shipment whereof the carrier, master or agent of the carrier has not consented with knowledge of their nature and character, may at any time before discharge be landed at any place, or destroyed or rendered innocuous by the carrier without compensation¹² and the shipper of such goods shall be liable for all damages and expenses directly or indirectly arising out of or resulting from such shipment. If any such goods shipped with such knowledge and consent shall become a danger to the ship or cargo, they may in like manner be landed at any place, or destroyed or rendered innocuous by the carrier without liability on the part of the carrier except to general average, if any.

ARTICLE 5

1595 A carrier shall be at liberty to surrender in whole or in part all or any of his rights and immunities or to increase any of his responsibilities and obligations under this convention, provided such surrender or increase shall be embodied in the bill of lading issued to the shipper. The provisions of this convention shall not be applicable to charter parties, but if bills of lading are issued in the case of a ship under a charter party they shall comply with the terms of this convention. Nothing in these rules shall be held to prevent the insertion in a bill of lading of any lawful provision regarding general average.

¹² Here is inserted in the draft of 1923 "for the shipper" ("pour le chargeur").

ARTICLE 6

1596 Notwithstanding the provisions of the preceding articles, a carrier, master or agent of the carrier and a shipper shall in regard to any particular goods be at liberty to enter into any agreement in any terms as to the responsibility and liability of the carrier for such goods, and as to the rights and immunities of the carrier in respect of such goods, or his obligation as to seaworthiness, so far as this stipulation is not contrary to public policy, or the care or diligence of his servants or agents in regard to the loading, handling, stowage, carriage, custody, care and discharge of the goods carried by sea, provided that in this case no bill of lading has been or shall be issued and that the terms agreed shall be embodied in a receipt which shall be a non-negotiable document and shall be marked as such.

Any agreement so entered into shall have full legal effect.

Provided that this article shall not apply to ordinary commercial shipments made in the ordinary course of trade, but only to other shipments where the character or condition of the property to be carried or the circumstances, terms and conditions under which the carriage is to be performed are such as reasonably to justify a special agreement.

ARTICLE 7

1597 Nothing herein contained shall prevent a carrier or a shipper from entering into any agreement, stipulation, condition, reservation or exemption as to the responsibility and liability of the carrier or the ship for the loss or damage to, or in connection with, the custody and care and handling of goods prior to the loading on, and subsequent to, the discharge from the ship on which the goods are carried by sea.

ARTICLE 8

The provisions of this convention shall not affect the rights and obligations of the carrier under any statute for the time being in force relating to the limitation of the liability of owners of seagoing vessels.

ARTICLE 9¹³

The monetary units mentioned in this convention are to be taken to be gold value.

Those contracting States in which the pound sterling is not a monetary unit reserve to themselves the right of translating the sums indicated in this convention in terms of pound sterling into terms of their own monetary system in round figures.

The national laws may reserve to the debtor the right of discharging his debt in national currency according to the rate of exchange prevailing on the day of the arrival of the ship at the port of discharge of the goods concerned.

ARTICLE 10¹⁴

1598 The provisions of this convention shall apply to all bills of lading issued in any of the contracting States.

ARTICLE 11¹⁵

After an interval of not more than two years from the day on which the convention is signed the Belgian Government shall place itself in communication with the Governments of the high contracting parties which have declared themselves prepared to ratify the convention, with a view to deciding whether it shall be put into force. The ratifications shall be deposited at

¹³ Article 9 is omitted from the draft of 1923.

¹⁴ Article 10 of the Convention appears as Art. 9 of the draft of 1923.

¹⁵ Article 11 *et seq.* do not appear in the draft of 1923.

Brussels at a date to be fixed by agreement among the said Governments.¹⁶ The first deposit of ratifications shall be recorded in a *procès-verbal* signed by the representatives of the Powers which take part therein and by the Belgian minister for Foreign Affairs.

The subsequent deposit of ratifications shall be made by means of a written notification, addressed to the Belgian Government and accompanied by the instrument of ratification.

A duly certified copy of the *procès-verbal* relating to the first deposit of ratifications, of the notifications referred to in the previous paragraph, and also of the instruments of ratification accompanying them, shall be immediately sent by the Belgian Government through the diplomatic channel to the Powers who have signed this convention or who have acceded to it. In the cases contemplated in the preceding paragraph, the said Government shall inform them at the same time of the date on which it received the notification.

ARTICLE 12

1599 Non-signatory States may accede to the present convention whether or not they have been represented at the International Conference at Brussels.

A State which desires to accede shall notify its intention in writing to the Belgian Government, forwarding to it the document of accession, which shall be deposited in the archives of the said Government.

The Belgian Government shall immediately forward to all the States which have signed or acceded to the convention a duly certified copy of the notification and of the act of accession, mentioning the date on which it received the notification.

¹⁶ Ratifications were deposited on June 2, 1930, by the United Kingdom (subject to the declaration made by the British Ambassador at Brussels on signing the Convention; *supra*, § 1585), Belgium (not including Belgian Congo or Ruanda-Urundi), Hungary and Spain.

ARTICLE 13

The high contracting parties may at the time of signature, ratification or accession declare that their acceptance of the present convention does not include any or all of the self-governing dominions, or of the colonies, overseas possessions, protectorates or territories under their sovereignty or authority, and they may subsequently accede separately on behalf of any self-governing dominion, colony, overseas possession, protectorate or territory excluded in their declaration. They may also denounce the convention separately in accordance with its provisions in respect of any self-governing dominion, or any colony, overseas possession, protectorate or territory under their sovereignty or authority.

ARTICLE 14

1600 The present convention shall take effect, in the case of the States which have taken part in the first deposit of ratifications, one year after the date of the protocol recording such deposit.¹⁷ As respects the States which ratify subsequently or which accede, and also in cases in which the convention is subsequently put into effect in accordance with Article 13, it shall take effect six months after the notifications specified in paragraph 2 of Article 11 and paragraph 2 of Article 12 have been received by the Belgian Government.

ARTICLE 15

In the event of one of the contracting States wishing to denounce the present convention, the denunciation shall be notified in writing to the Belgian Government, which shall immediately communicate a duly certified copy of the notification to all the other States, informing them of the date on which it was received.

¹⁷ Ratifications having first been deposited on June 2, 1930, the Convention took effect on June 2, 1931.

The denunciation shall only operate in respect of the State which made the notification, and on the expiry of one year after the notification has reached the Belgian Government.

ARTICLE 16

Any one of the contracting States shall have the right to call for a fresh conference with a view to considering possible amendments.

A State which would exercise this right should notify its intention to the other States through the Belgian Government, which would make arrangements for convening the Conference.

1601 Done at Brussels, in a single copy, the 25th August, 1924.

For Germany: KELLER.

For the Argentine Republic:

For Belgium: LOUIS FRANCK; ALBERT LE JEUNE; SOHR.

For Chile: ARMANDO QUEZADA.

For the Republic of Cuba:

For Denmark:

For Spain: EL MARQUES DE VILLALOBAR.

For Estonia: PUSTA.

For the United States of America: WILLIAM PHILLIPS.

For Finland:

For France: MAURICE HERBETTE.

For Great Britain: GEORGE GRAHAME.

For Hungary: WORACZICKY.

For Italy: GIULIO DANELO.

For Japan: M. ADATCI.

Subject to the reservations in the note relating to this treaty and attached to my letter, dated 25th August 1925, to S. Exc. M. Emile Vandervelde, Minister for Foreign Affairs for Belgium.

For Latvia:

For Mexico:

For Norway:

For the Netherlands:

For Peru:

For Poland and the Free City of Danzig:
SZEMBEK.

For Portugal:

For Roumania: HENRY CATARGI.

For the Kingdom of the Serbs, Croats and Slovenes: Dr. MILORAD STRAZNICKY;
Dr. VERONA.

For Sweden:

For Uruguay:

Protocol of Signature

1602 AT the time of signing the International Convention for the Unification of certain Rules of Law relating to Bills of Lading the Plenipotentiaries whose signatures appear below have adopted this Protocol, which will have the same force and the same value as if its provisions were inserted in the text of the Convention to which it relates.

The High Contracting Parties may give effect to this convention either by giving it the force of law or by

including in their national legislation in a form appropriate to that legislation the rules adopted under this convention.

They may reserve the right—

1. To prescribe that in the cases referred to in paragraph 2 (c) to (p) of Article 4 the holder of a bill of lading shall be entitled to establish responsibility for loss or damage arising from the personal fault of the carrier or the fault of his servants which are not covered by paragraph (a).
2. To apply Article 6 in so far as the national coasting trade is concerned to all classes of goods without taking account of the restriction set out in the last paragraph of that article.

Done at Brussels, in a single copy, the 25th August, 1924.

For Germany: KELLER.

For the Argentine Republic:

For Belgium: LOUIS FRANCK; ALBERT LE JEUNE; SOHR.

For Chile: ARMANDO QUEZADA.

For the Republic of Cuba:

For Denmark:

For Spain: EL MARQUES DE VILLALOBAR.

For Estonia: PUSTA.

For the United States of America: WILLIAM PHILLIPS.

For Finland:

For France: MAURICE HERBETTE.

For Great Britain: GEORGE GRAHAME. (*Subject to Declaration printed in the French text, supra, § 1585.*)

For Hungary: WORACZICKY.

For Italy: GIULIO DANELO.

For Japan:

For Latvia:

For Mexico:

For Norway:

For the Netherlands:

For Peru:

For Poland and the Free City of Danzig:
SZEMBEK.

For Portugal:

For Roumania: HENRY CATARGI.

For the Kingdom of the Serbs, Croats and Slovenes: Dr. MILORAD STRAZNICKY;
Dr. VERONA.

For Sweden:

For Uruguay:

[For British note, see *supra*, § 1585]

1603 Note attached to the letter of August 25, 1925, from His Excellency the Japanese Ambassador to the Belgian Minister for Foreign Affairs.

Imperial Embassy of Japan.

AT the time of signing the International Convention for the Unification of certain Rules of Law relating to Bills

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of Lading the undersigned, Plenipotentiary of Japan,
makes the following reservations:

(a) *To Article 4:*

Japan reserves, until further notice, acceptance of the
provisions of (a) paragraph 2 of Article 4.

(b) Japan is of opinion that the Convention, as a
whole, does not apply to the national coasting trade,
and consequently there is no need to make it the object
of a provision in the Protocol. At the same time, if this
is not the case, Japan reserves the right to provide
freely for the national coasting trade by its own
legislation.

M. ADATCI.

Brussels, August 25, 1925.

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VOLUME ◊ ◊

DOING BUSINESS
IN
JAPAN

Statute Volume

GENERAL EDITOR

Zentaro Kitagawa

PROFESSOR OF LAW

KYOTO UNIVERSITY

DIRECTOR OF KYOTO COMPARATIVE
LAW CENTER

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APPENDIX 5D

The International Carriage of Goods by Sea Act

(Kokusai Kaijō Buppin Unsō Hō)

(Law No. 172, 1957)

Article 1. (Application)

This law shall apply to the carriage of goods by ship when either the port of loading or the port of discharge is outside this country.

Article 2. (Definitions)

1. In this law the term "ship" has the meaning provided in the Commercial Code Article 684, paragraph 1, but excludes those boats and small vessels described in Article 684, paragraph 2.

2. In this law the term "carrier" means a shipowner, a lessee of a ship, or a charterer carrying goods according to the previous Article.

3. In this law "consignor" means a consignor or charterer who commissions the carriage of goods according to the previous Article.

Article 3. (Duty of care regarding the goods carried)

1. The carrier is liable to pay damages when he or the persons employed by him for the receipt, loading, stowage, carriage, storage, unloading and delivery of the goods fail to take due care, thus causing loss, damage or delay to the goods carried.

2. The previous paragraph does not apply to damage caused by the acts of the master, crew, pilot, or other persons employed by the carrier in the navigation or management of the ship, or by fire on board the ship (unless due to negligence or intention of the carrier).

Article 4. (Duty of care regarding the goods carried)

1. Unless the carrier can prove that he took due care according to the previous Article, cannot avoid liability under that article.

2. Notwithstanding the previous paragraph, the carrier is exempt from liability under the preceding article if he proves that the damage to the goods carried arose from any of the following facts. However, if it is proved that the damage could have been avoided by the exercise of due care according to Article 3, and that such due care was not exercised, then this paragraph shall not apply.

1. Peril peculiar to the sea or other navigable waters.
2. Natural calamity or disaster.
3. War, riot, or civil war.
4. Piracy or other similar act.
5. Judicial attachment, quarantine restriction, or other disposal measure taken under public authority.
6. Act of the consignor or of the owner of the goods carried or of a person employed by one of them.
7. Strike, slow-down, lock-out or other similar dispute.
8. Attempt to save life or property at sea, or any deviation for that purpose, or any other deviation for fair and appropriate reason.
9. The particular nature of the goods carried or their latent defect.
10. Imperfect packaging or marking of the goods carried.
11. Latent defect in a derrick or similar equipment.

3. The previous paragraph does not preclude the application of Article 9.

Article 5. (Dull of care regarding fitness for the voyage)

1. The carrier is liable to pay damages when he or the persons employed by him fail to exercise due care as to the following at the time of departure, thus causing delay, loss, or damage to the goods carried:

1. to make the ship seaworthy;
2. to man and equip the ship and replenish supplies; or
3. to make the holds, refrigeration chambers and any other area used for the storage of the goods carried suitable for the reception and preservation of those goods.

2. Unless the carrier can prove that he took due care according to the preceding paragraph, he cannot avoid the liability provided for under that paragraph.

Article 6. (Duty to deliver a bill of lading)

1. The carrier, master or carrier's agent, at the request of the consignor, shall issue, without delay after the goods have been loaded, one or more bills of lading recording that the goods have been shipped ("hereafter referred to as a shipped bill of lading"). Also, as to goods delivered, the carrier after their receipt but before loading, shall at the request of the consignor issue one or more bills of lading, recording that the goods have been received (hereafter referred to as a "received bill of lading").

2. Where receipt bills of lading have been issued, the delivery of a shipped bill of lading cannot be demanded, except in exchange for all the issued received bills of lading.

Article 7. (Issuing a bill of lading)

1. The bill of lading must state the following particulars (in the case of a receipt bill of lading items 7 and 8 shall be excluded) and the carrier, master or the carrier's agent shall sign it or inscribe and affix his seal to it.

1. The kind of goods.
2. The weight or volume of the goods, or the number of packages or individual pieces and the marks of the goods.
3. The apparent condition of the goods.
4. The consignor's full name or trade name.
5. The consignee's full name or trade name.
6. The carrier's full name or trade name.
7. The name of the ship and its nationality.
8. The date and port of loading.
9. The port of discharge.
10. The freight.
11. When several bills of lading are issued, the number of bills issued.
12. The place and date of issuance.

2. Where the delivery of a shipped bill of lading has been demanded in exchange for the received bill of lading, that received bill of lading containing a statement that the goods have been loaded and which has been signed or inscribed and sealed may be substituted for a shipped bill of lading. In this case, the previous particulars described in numbers 7 and 8 shall be stated thereon.

Article 8. (Consignor's Notice)

1. The particulars described in paragraph 1, items 1 and 2 of the previous article must, in cases where a consignor has given written notice of those required particulars, be entered by the carrier, master or carrier's agent according to that notice.

2. The preceding paragraph shall not apply where the carrier with reasonable ground believes that the notice described

in that paragraph is not correct, or when there is no suitable method of confirming whether the notice is correct. That paragraph also shall not apply in cases where the goods carried or their cases or packages have no marks, or where the marks will not withstand the voyage.

3. The consignor shall guarantee to the carrier that the notice under paragraph 1 of this article is correct.

Article 9. (False entry on a bill of lading)

When an entry on the bill of lading is contrary to the actual facts, the carrier cannot set up the difference against a good faith holder of the bill of lading unless the carrier proves that he took due care when making that entry.

Article 10. (Provisions applied mutatis mutandis)

Articles 573 to 575, Article 584 and Articles 770 to 775 of the Commercial Code shall apply *mutatis mutandis* to a bill of lading under this law.

Article 11. (Disposal of dangerous cargo)

1. When the carrier, master, or carrier's agent does not know at the time of loading that the goods are inflammable, explosive, or of a similar dangerous nature, then those goods may at any time be unloaded, destroyed or rendered harmless.

2. The provisions of the preceding paragraph shall not preclude the carrier from demanding compensatory damages from the consignor.

3. When the carrier, the master or the carrier's agent knew at the time of loading that the goods were inflammable, explosive, or of a similar dangerous nature, those goods may be unloaded, destroyed or rendered harmless if they endanger the ship or other cargo.

4. The carrier having disposed of the goods according to paragraph one or the preceding paragraph is not liable to pay damages for the loss caused by such disposal.

Article 12. (Duty of the consignee, etc., to give notice)

1. When there is any partial loss of or partial damage to the goods carried, the consignee or the holder of the bill of lading must at the time of receipt give the carrier a written report of the general nature of the loss or damage. However, where the loss or damage is not immediately discoverable, it shall be sufficient to give the report within three days from the day of receipt.

2. When a report, as specified in the preceding paragraph, has not been given, it shall be presumed that the goods carried were delivered without loss or damage.

3. The preceding two paragraphs do not apply to cases where the actual condition of the goods carried is confirmed at the time of delivery in the presence of the parties concerned.

4. When there are doubts about the loss of or damage to the goods carried, the carrier, the consignor and the holder of the bill of lading must grant each other the necessary facilities for inspection of the goods.

Article 13. (Limitation of liability)

1. Concerning the goods carried, the carrier's liability per package or unit is limited to 100,000 yen.

2. The previous paragraph does not apply when notice as to the kind and value of the goods carried is given by the consignor at the time of entrusting them for shipment and the same is recorded on the bill of lading.

3. In the case provided for in the previous paragraph, when the consignor has intentionally reported a value significantly in excess of the real value of the goods carried, the carrier is not liable to pay any compensatory damages for those goods.

4. In the case provided for in paragraph 2, if the consignor has intentionally reported a value significantly below the real

value, the reported value shall be presumed to be the value of the goods carried with regard to damage to the goods carried.

5. The preceding two paragraphs shall not apply in cases where the carrier has acted in bad faith.

Article 14. (Limited period of liability)

The carrier's liability for the goods carried shall cease if court proceedings are not commenced within one year from the day the goods were delivered (where all the goods have been lost, then from the day when they should have been delivered). However, this shall not apply when the carrier has acted in bad faith.

Article 15. (Prohibition of special agreements)

1. Any special agreement unfavorable to the consignor, consignee or to the holder of the bill of lading and contrary to the provisions of Articles 3 to 5, Articles 8 and 9, and Articles 12 to 14, is void. The same shall apply to any contract purporting to transfer to the carrier rights arising from the insurance contracts for the goods carried and other similar contracts.

2. The provisions of the preceding paragraph shall not prevent the making of special agreements disadvantageous to the carrier. In such a case the consignor may require that the special agreement be entered on the bill of lading.

3. The provisions of paragraph 1 of this article shall not apply to damage which occurred before the goods carried were loaded or after they were discharged.

4. Where a special agreement as provided for in paragraph 1 has been made with regard to those damages described in the preceding paragraph, unless that special agreement has been entered on the bill of lading, the carrier cannot set it up against the holder of the bill of lading.

Article 16. (Exception to the prohibition of special agreements)

The provisions of paragraph one of the preceding article shall not apply where a contract of carriage is made having for its subject all or part of a ship. However, this shall not affect the relationship between the carrier and the holder of the bill of lading.

Article 17. (Ibid.)

The provisions of the preceding article shall apply *mutatis mutandis* to the carriage when the special nature or character of the goods carried or the special conditions under which the carriage is to be performed make it appropriate to exempt the carrier from liability or to reduce that liability.

Article 18. (Ibid.)

1. The provisions of Article 15, paragraph 1, shall not apply to the carriage of live animals or to the carriage of goods on deck.

2. When a special agreement as provided for in Article 15, paragraph 1, has been made as to the carriage referred to in the preceding paragraph, and when that special agreement has not been recorded on the bill of lading, the carrier cannot set up that special agreement against the holder of the bill of lading. The same shall apply to goods carried on deck when no statement to that effect is recorded on the bill of lading.

Article 19. (Preferential rights over the ship)

1. When a contract of carriage has for its subject all or part of a ship, and the charterer then makes a contract of carriage with a third person, a person having the right to claim compensation for damage to the goods carried occurring within the limits of the master's responsibility has a preferential right over the ship and its equipment.

2. The preferential right in the preceding paragraph shall be next to a preferential right under Article 842, item 8 of the Commercial Code.

3. The provisions of Article 844, paragraphs 2 and 3, Articles 845, 846, 847, paragraph 1 and Article 849 of the Commercial Code apply *mutatis mutandis* to the preferential right provided for in paragraph 1.

Article 20. (Application of the Commercial Code)

1. The Commercial Code, with the exception of Articles 738, 739, 759, and 766 to 776 inclusive, shall apply to carriage according to Article 1 of this law.

2. The provisions of Article 576 and 579 to 583, inclusive, of the Commercial Code shall apply *mutatis mutandis* to a carriage according to Article 1 of this law.

Article 21. (Exclusion of the carriage of mail)

This law shall not apply to the carriage of mail.